

UNGA GROUP Plc

ANNUAL REPORT AND FINANCIAL STATEMENTS

FOR THE YEAR ENDED 30 JUNE 2021



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CORPORATE INFORMATION

DIRECTORS	I Ochola-Wilson (Mrs)	Chairman	Kenyan
	N C Hutchinson	Group Managing Director	British
	J K Kibet		Kenyan
	V O Ojode		Kenyan
	A McKittrick		Kenyan
	P O Obath		Kenyan
	S Haria (Ms)		Kenyan
	A S M Ndegwa		Kenyan
	W Wangari		Kenyan
	C Miringu		Kenyan
	P K Mugambi - (Alternate to A S M Ndegwa)		Kenyan

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5th Floor, West Wing
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Nairobi

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REGISTRARS Custody & Registrars Services Limited
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P O Box 8484, 00100
Nairobi

AUDITORS PricewaterhouseCoopers LLP
Certified Public Accountants (Kenya)
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P O Box 43963, 00100
Nairobi

BANKERS Absa Bank Kenya Plc
The West End, Waiyaki Way
P O Box 30120, 00100
Nairobi

LAWYERS Kaplan & Stratton
Williamson House
4th Ngong Avenue
P O Box 40111, 00100
Nairobi

CHAIRMAN'S STATEMENT

The operating environment

The year 2020 will long be remembered as the year when the globe literally 'paused' as the Covid-19 pandemic infected and affected millions of people worldwide. It inflicted immense human suffering, ravaged the global economy, and disrupted life and continues to do so.

Whilst the development and rollout of Covid-19 vaccines has given hope of bringing the pandemic under control the virus continues to mutate into different variants and spread in waves in a way that is yet to be understood. Under the circumstances, we continue to practice safe management measures to combat the virus.

In Kenya, a protracted political cycle, coupled with the pandemic saw the economy contract like not seen before in many years. Our Real Gross Domestic Product (GDP) growth is estimated to have contracted to 0.3 per cent in 2020 compared to a revised growth of 5.0 per cent in 2019, according to the 2021 Economic Survey.

The manufacturing sector real value added declined by 0.1 per cent, affecting grain milling, baking and processed meat businesses. In the same period, aggregate maize production declined from 44.0 million bags in 2019 to 42.1 million bags in 2020. Regionally, the East African Community real GDP contracted to 0.2 per cent in 2020 from a growth of 6.2 per cent recorded in 2019.

It was a tough year for the Board. We continued to be confronted by a shrinking market for our products amid increasing prices of raw materials and reduced consumer purchasing power as companies implemented salary cuts and layoffs. There was persistent price-based competition with players desperately fighting for market share, and continued uncertainty about the future with the pandemic shutdowns. Climate change also continued to be a challenge to the sustainability of food and agricultural production.

Strategic thoughts

The Board made the decision to postpone Strategic Planning Process planned for early 2021 until a later date due to the uncertainties and travel restrictions at the time. However, a new Strategic Plan that makes a bold move into the Human Food Segment will be critical going forward and the Board is working with management on implementation of various strategies.

The Group will continue to strengthen its position as the leading animal nutrition company locally and in the region. This will be done by identifying and developing sustainable alternatives to currently used animal protein whose sources of supply have become unstable and unpredictable in the current environment. As we have done in the past, we shall continue seeking for opportunities for automation in line with evolving technologies and manufacturing practices. We now have a sustainability strategy to help shape our actions and the impact we have on our world of operation.

Bold decisions

Given the challenges, the Board approved a staff re-structuring program and reduction of salaries for management staff. We adopted to new ways of working and this had its successes and also challenges which we navigated as we moved along.

As we work on transforming ourselves to a human and animal food company, we need to make the decision whether to continue to fight for dominance in increasingly unprofitable sectors, or to strategically focus on those niche areas where we believe the business has opportunities to deliver value to our customers and shareholders. As a short-term measure, we optimized our milling facilities by consolidating production of different products at different plants. This allowed us to maximize the use of each plant while saving overhead costs.

CHAIRMAN'S STATEMENT (continued)

We also took the decision to divest from the bakery business as it is no longer viable. This was mainly occasioned by the lack of suitable partnerships to drive volume growth, as well as the negative impact of the Covid-19 shutdowns on the travel and hospitality industries which under normal conditions drove significant revenues for the bakery business.

On a positive note, the animal nutrition business which forms 64% of our revenues saw encouraging growth in the second half of the calendar year 2020. This growth was however tempered by high cost of raw materials which correspondingly ate into our margins. Nonetheless, we continued to invest in different product lines in this area. We are happy to report that significant progress was made during the year in identifying and entering into partnerships with strong international players in the Animal and Fish feed sectors which will help us to consolidate and scale our leadership position in those sectors across the region.

The Future

Despite the resilience shown by the group in a difficult year, the effects of the Covid-19 pandemic will continue to play a significant role in the economy and will likely continue to be a defining characteristic of our business in the coming year.

We have used the lessons learnt in navigating these challenges to identify priority areas which we will continue to focus on to build the business to meet these and other new challenges going forward. Looking ahead, in the human nutrition segment, we will choose our battles and not seek to compete in every product category where no or little value is added. We will focus on new and existing product lines where we can deliver products without compromising on quality or integrity and continue to realize value for shareholders.

We will actively seek to build partnerships where they make strategic sense from raw material opportunities to effective routes to market. As with human nutrition products, we will also strengthen our route to market partnerships for animal feeds to ensure our superior animal nutrition products are available to our customers on demand and at competitive rates.

Automation in the handling of raw materials within our facilities will continue to be an area of focus to improve efficiency and improve cost management in our production.

Corporate Governance

We are committed to continue maintaining and enhancing a strong corporate governance framework against the requirements of both the Companies Act 2015 and the CMA Code. Guided by our vision and mission, my Board operates through board committees that are set up to focus on specific aspects of our business. We ensure that these committees are appropriately resourced to execute their mandate. These committees include the Nominations & Remuneration Committee, Audit & Risk Committee, Investments & Operations Committee, and the Human Resources Committee.

Throughout the year, the Board has worked tirelessly to provide independent leadership and oversight to the organization, supporting the management with strategic insights to navigate through the difficult operating environment. I would like to thank each and every one of them for their unwavering support during this very challenging year, especially for responding to make the tough decisions that were called for.

Management Changes

We recently announced the impending departure of our long-serving Group Managing Director, Nick Hutchinson. He retires in December 2021 after two decades of transforming the company to be one of the leading organisations in manufacturing excellence. During his stewardship, the Company has not only remained profitable but also maintained a very strong balance sheet.

CHAIRMAN'S STATEMENT (continued)

On my own behalf and that of my Board, I would like to sincerely thank Nick for the exemplary leadership he has provided to the management of Unga Group during his period where the business has undergone great transformation of processes, people, and culture. He leaves us with a company where 30% of all employees in a very male-oriented production environment are women and the total employee culture score stands at 86%.

At the same time, I warmly welcome Joseph Malel Choge as the incoming GMD. The Board is confident that with his many years of experience within the manufacturing, telecoms, banking, insurance and finance sectors, he brings the requisite knowledge, experience, and skills to move our business to the next level. The Board remains resolute in our commitment and support for Joseph and the management team as they execute our strategic priorities for the next financial year and beyond.

Dividend

As a Group, we are committed to delivering shareholder value for our shareholders. Given the difficult financial year we have just concluded, and the reduced margins with which we have had to operate and the need to invest in new partnerships, the company will not be paying out dividend this year. We ask for your patience but also reiterate our commitment to growing a much stronger and sustainable company going forward in both the human and animal nutrition segments.

Appreciation

Despite a trying financial year, I believe the business is well positioned to meet the challenges ahead. I want to thank our consumers who have stood steadfastly with us despite the harsh economic times and for continuing to show confidence in our products.

I am heartened by the tremendous response shown by our staff in a volatile and uncertain environment. They brought both purpose and extra-commitment because of the pandemic and I want to thank them for being a credit to themselves and to Unga Group.

To our partners, thank you for the work we have done together this year.

Finally, I want to convey my appreciation to our shareholders for the confidence they continue to place in us, and for your patience to enable us to go through this journey to build a more sustainable and profitable business.



Isabella Ochola-Wilson (Mrs)
Chairman

GROUP MANAGING DIRECTOR'S STATEMENT

The year in review

The Covid-19 pandemic continued to characterise the 2021 financial year, affecting both local and international economies and businesses. There was however a silver lining when vaccines begun to be introduced to cushion populations against the adverse health impact of the virus. As a result, economies across the globe begun to reopen, but with cautious optimism due to concerns with evolving variants of the virus.

Locally, a prolonged political cycle, coupled with the Covid-19 pandemic saw Kenya's economy contract for the first time in 29 years, disrupting supply chains, our business operations, and negatively impacting demand for our human nutrition products. Our animal nutrition business however continued to post robust performance throughout the year as more Kenyans engaged in poultry farming, leading to increased demand for our Fugo® branded feeds.

From a flour milling industry perspective, the competitive landscape continued to intensify with new mills being commissioned, despite the industry operating at below 50% capacity utilisation. Regionally, cheap processed poultry and egg imports from Uganda continued to impact the competitiveness of locally produced meat and eggs.

Resulting from the depressed economic and business prospects, we carefully considered our targets for the year to align with the prevailing realities but kept them stretched. We unfortunately had to implement a cost reduction program at the end of the first quarter, which included a redundancy element that reduced our staff count by close to 80 employees. In addition, we reviewed our production model for both flour and feed milling and took the strategic decision to consolidate maize production in Eldoret while sharing wheat production between Eldoret and Nairobi. On the feeds side, we consolidated the production of most poultry products in Nairobi and production of dairy meal and various specialty products in Nakuru, helping us achieve great efficiency from our plants.

Turning to our performance, the group's financial position improved with a 1% increase in group revenues. Profit before tax grew 311% on account of settlement of debt by the government for maize supplied during the maize subsidy program in 2017 as well as receipt of long outstanding tax refunds.

Strategic rethink

As a Group, we have taken the financial year as an opportunity to relook at our business and to undertake difficult but bold decisions to enable us to remain competitive and sustainable in very uncertain times. Firstly, we recognise the need to play to our strengths in the human nutrition and animal nutrition business with a focus on areas where we can deliver value for the consumer and maximize shareholder returns. Secondly, we need to continue investing to secure our supply chains through leveraging and deepening our partnerships at the global level, and with local and regional farmers.

Thirdly, we are intent on being efficient in the way we utilise our assets through the increased adoption of automation and energy-management technologies to optimise use of our production facilities, to eliminate impediments to information flow, and to reduce the negative elements of our environmental footprint. Fourthly, we aim to continue leveraging technology in the handling of raw materials in our plants to rationalise costs and enable us to price our products competitively, in the face of diminished purchasing power by our consumers.

Lastly, we appreciate the need to cultivate consumer demand for our products through enhanced collaboration with our partners across the distribution chain.

GROUP MANAGING DIRECTOR'S STATEMENT (continued)

Outlook

We see cost and availability of raw materials, and the increasingly more competitive nature of the flour milling business as some of the challenges for our business going forward.

However, in line with our five strategic pillars – Customer Intimacy, People, Geographic Expansion, Product Diversification, and Supply Chain Optimisation – we will continue to position the business to explore new opportunities, drive efficiency in our operations, form mutually beneficial partnerships, and incentivise demand for our superior products.

Customer Intimacy

Availability of our products on demand by our customers is key to continued brand loyalty and ability to remain competitive in the market. In addition to our presence on online and social media forums that I highlighted in the last report, we are further investing in strengthening and improving our distribution network to ensure our partners are able to avail our products to our customers competitively, on demand, and at their most convenient location.

People

As I mentioned earlier and informed by the difficult operating environment, in September 2020 we implemented a right-sizing exercise where several roles were declared redundant as we adopted automation in our operations to make them more efficient and aligned with Covid-19 safety protocols.

To support our staff in navigating through the stressful times, we implemented a wellness program that included a 24-hour psychological and emotional support helpline where they and their immediate families can get professional counseling and mental health care. We also moved forward with the organisational e-learning initiative we began in the prior year and adopted new agile and flexible working policies. Where possible our people were able to apply a hybrid home and office work schedule.

Looking ahead, we see new job opportunities being actualised once the recently announced animal nutrition-related joint ventures are operationalised, in the second half of the 2022 financial year. In addition, we will continue to scale the capacity and skills of our leaders and employees to ensure they remain competitively relevant.

Geographic Expansion and Diversification

We are always on the lookout for partnership opportunities to expand our offerings in both the human and animal nutrition sectors. We see great potential for the right innovative offerings of quality human and animal nutrition choices, which we continue to explore at the raw material, finished product and distribution levels.

As part of this, we are looking to expand our geographic footprint in the animal nutrition business in the region. Our proposed joint venture with Nutreco in Uganda will see us produce animal feed at the Unga Millers (U) Limited facility, which has been dormant since mid-2017. The proposed aquafeed joint venture with Nutreco in Kenya will allow us to quickly increase production capacity to meet the growing demand for fish feed across the East African Community member states. Additionally, our partnership with Nutreco enabled the development and subsequent introduction of the K9® dog food range in the beginning of the 2021 calendar year.

As signaled in last year's report, the bakery business has unfortunately not performed to our expectations. This has not been helped by the impact of the Covid-19 pandemic on tourism, especially in the airline and hospitality sectors. We have taken a decision to exit from the business and have entered into an agreement with BigCold Kenya Limited for them to acquire the assets of Ennsvalley Bakery Limited; the transaction is expected to close before the end of the 2021 calendar year.

GROUP MANAGING DIRECTOR'S STATEMENT (continued)

Supply Chain Optimisation

In the second half of the year, we managed to build up a strategic inventory of maize which benefited both the flour and feed milling businesses. We will continue to forge mutually beneficial partnerships with traders and farmers and take the strategic decisions necessary to ensure we are in the best possible position from a raw material supply perspective.

Continued investment in upgrading our silos and in the automation of raw material handling within our plants will also improve efficiency and lower the cost of production.

Appreciation

Fellow stakeholders, as many of you are aware, this is my last report as the Group Managing Director. I have been privileged to head this organisation for the past 21 years and the time has come for me to hand over the baton to a very capable pair of new hands, to steer the Company forward at this critical juncture in our history.

I wish to express my gratitude to all our stakeholders for the support and encouragement given to me during my time with the Company. I thank the Board for entrusting me with the responsibility of leading the organisation to achieve its objectives, and for its well-considered guidance along the way.

To the Management and staff, I thank you for your fidelity and commitment to diligently serving our customers; I thank our trade and supply chain partners for continuing to walk this journey with us.

It has indeed been an honour to be your GMD and I leave pleased with the significant milestones we have achieved in returning Unga Group Plc to profitability whilst establishing a reputation for very good corporate governance practices, high operational standards, a continual improvement mindset and a demonstrated platform from which to launch partnerships with leading multinationals. Nevertheless, there are many opportunities to be realised going forward, amongst them being the further development of the Group's regional footprint.

As the Board works with the new GMD and his management team to develop and implement the 2022-2026 strategic plan, I am confident and optimistic about what the future holds for the Company.

Thank you!



Nick Hutchinson
Group Managing Director

DIRECTORS' REPORT

The directors submit their report together with the audited financial statements for the year ended 30 June 2021, which disclose the state of affairs of Unga Group Plc (the "Company") and its subsidiaries (together, the "Group").

PRINCIPAL ACTIVITIES

The principal activities of the Group continue to be the manufacturing of human nutrition products, animal nutrition products and the distribution of animal health products.

BUSINESS REVIEW

The Group's revenue and profit for the year increased 1% and 343% respectively.

Overall operating profit was impacted by reduced margins, re-organisation and finance costs. Compared to prior year, interest expense reduced because of re-structuring of banking facilities

International wheat prices increased by at least 30% during the year due to poor harvest and adverse fiscal measures imposed by some of the leading exporting economies. Other basic raw material prices were relatively high in the period; however, with the onset of the local maize harvest, maize prices remained relatively stable from the second quarter to the end of the financial year.

Depreciation of the Kenya Shilling against the US Dollar impacted importation costs and led to substantial forex losses. Credit risk remained high, but the Group made every effort to accommodate its customers to ensure product availability.

The Company received payment for grain supplied in support of the government-led maize subsidy program in 2017. The interest element of the debt remains outstanding. The long outstanding tax refunds were also received during the year ending a protracted litigation process. Both receipts improved profit for the year.

Opportunities in new product lines continued to be explored. The necessary investments continue to be made to bring these on-going initiatives to fruition.

Subsequent to the end of the financial year, the Company entered agreements with Nutreco BV to form two joint ventures; one to expand aquafeed production and marketing capability in the region, the other to manufacture animal feed and expand the sale of feed premixes in Uganda. Agreement was also reached with Big Cold Kenya Limited to buy its bakery business and assets. Both transactions are expected to be closed in the first half the year 2021-22. The financial statements have presented the results of the discontinuing operations with respect to the bakery and the aquafeed businesses separately as results of discontinuing operations. The assets subject to the joint venture with Nutreco BV and the assets for the bakery business to be sold to Big Cold have been presented separately as assets held for sale. The liabilities associated with the assets held for sale have also been presented separately.

The ongoing initiatives will require substantial cash investments. This coupled with the need to ensure that the existing businesses maintain healthy liquidity levels in the current tough economic conditions, the Directors therefore do not recommend the payment of a dividend.

Summary financial performance	2021 Shs'000	2020 Shs'000
Revenue	17,812,638	17,569,967
Gross profit	1,889,074	1,641,986
Gross profit margin	11%	9%
Operating profit	616,202	299,781
Profit for the year	293,477	66,161
Total assets	10,048,779	12,050,876

Notes (continued)

RESULTS AND DIVIDEND

The profit attributable to equity holders of Shs 179,175,000 (2021: Shs 34,146,000) has been added to retained earnings. The directors do not recommend payment of dividend in respect of the financial year (2020: Nil)

DIRECTORS

The directors who served during the year and to the date of this report are set out on page 1.

DISCLOSURES TO AUDITORS

The directors confirm that with respect to each director at the time of approval of this report:

- a) there was, as far as each director is aware, no relevant audit information of which the company's auditor is unaware; and
- (b) each director had taken all steps that ought to have been taken as a director so as to be aware of any relevant audit information and to establish that the company's auditor is aware of that information

TERMS OF APPOINTMENT OF AUDITORS

PricewaterhouseCoopers continue in office in accordance with the Company's Articles of Association and Section 721 of the Companies Act, 2015.

The Board Audit and Risk Committee (BARC) monitor the effectiveness, objectivity and independence of the auditor. This responsibility includes the approval of the audit engagement contract and fees.

APPROVAL OF FINANCIAL STATEMENTS

The financial statements were approved by the Board of Directors on 28 September 2021.

By order of the Board



Winniefred N Jumba

SECRETARY

DIRECTORS' REMUNERATION REPORT FOR THE YEAR ENDED 30 JUNE 2021

1.0 ANNUAL STATEMENT BY THE CHAIRMAN OF THE BOARD NOMINATIONS AND REMUNERATION COMMITTEE

Dear Shareholder

As the Chairman of the Board Nominations and Remuneration Committee, I am pleased to present the Directors' Remuneration Report for the year ended 30 June 2021.

This Report complies with regulations contained in the tenth schedule of the Companies Act 2015 ("the Act") in relation to quoted companies Directors' Remuneration Report and the Capital Markets Code of Corporate Governance for Issuers of Securities ("The CMA Code").

This Report contains:

- The background information on the Committee's members and role;
- A highlight of the current directors' remuneration policy which was approved at the 2018 AGM; and
- The annual remuneration report, describing how the remuneration policy has been put in practice during the year ended 30 June 2021 and how it will be implemented in the year ending 30 June 2022.

Role of the Committee

The members of the Nominations and Remuneration Committee during the year were Mr Patrick Obath (Chairman), Mrs Isabella Ochola-Wilson, Mr Jinaro Kibet and Mr Andrew Ndegwa. All members are Non-Executive Directors and Mr Patrick Obath was determined by the Board to be independent throughout the year.

During the year, the Committee met seven times. Details of attendance at meetings by Committee members are shown in the Corporate Governance section.

The Committee has specific terms of reference which are placed on the Group's website at www.unga-group.com. It considers and recommends to the Board the Group's remuneration policy and agrees the individual remuneration package of the Group Managing Director.

Our remuneration principles

The Board Nominations and Remuneration Committee in conjunction with the Board Human Resources Committee were guided by the Group's remuneration principles in decision making during the year. This was mainly geared towards ensuring that the remuneration structures are designed in a way that enables the right outcomes for the business in line with its long-term strategy, making sure that we have the best people in place to deliver the strategy and ensuring that the executive pay is appropriate in the wider context in which the business operates.

Like many listed companies, we need to attract and retain the best people to lead our business in an increasingly competitive marketplace. Remuneration is a key part of our offering and the significant market pay differential within the manufacturing industry continues to be challenging. We continue to monitor external practices across our key strategic markets and set out our remuneration policy and practices in a way that provides appropriate risk and reward, delivering market competitive packages in return for high performance against the company's strategic objectives and stretched performance targets.

DIRECTORS' REMUNERATION REPORT FOR THE YEAR ENDED 30 JUNE 2021 (continued)

Value creation and pay for performance is at the center of our remuneration policy and practices. The success of the Group depends upon the performance and commitment of talented employees. The Group's reward programs support and drive its business strategy and reinforce its values. The principles for setting executive remuneration are outlined below in more detail.

Delivery of Business Strategy	Sustainable performance	Competitive remuneration	Alignment with shareholder interests
The remuneration plans reward the delivery of our business strategy and performance targets. Although target remuneration levels are aligned to the market, excellent performance by both the Group and by the individual executive director is rewarded with bonus incentive plans. Performance measures are reviewed regularly and are set relative to the Company's growth plans	A portion of remuneration is delivered in variable pay linked to business and individual performance. Performance against targets is assessed in the context of underlying business performance and the quality of earnings.	Competitive reward that reflects the nature of the Group and enables it to attract and retain talented executives of the highest quality. Executive decisions are made in the context of the broader all employee and external environment.	A strong performance-oriented culture relates directly to the performance of the Group as a whole and shareholders' interests

Executive Directors

Target remuneration levels for the executive directors are set with reference to individual experience as well as the pay levels in the Group's competitors with business characteristics similar to the Group such as scope of operations, complexity and size (both in financial terms and with regard to numbers of employees) and represent organisations which compete alongside the Group for talent.

Other Employees

The Group considers the remuneration policy in the context of all Group employees.

Base salaries of employees are determined in a similar way to those of executive directors. The Group's approach is to ensure that target total compensation is benchmarked to the relevant market in which the individual is employed. Potential total compensation is set at the 50th quartile for excellent individual and business performance.

In addition:

- All employees are eligible to receive a bonus dependent upon performance and their contractual position. The bonus is premised on an approved variable pay payout model;
- Core benefits are provided to all employees based on prevailing regulations and competitive practice. These include retirement benefits, medical insurance, life assurance and annual leave;
- The Group is keen that an element of each employee's total compensation is performance related. The proportion of this variable compensation (which is delivered through bonus) increases with seniority.

DIRECTORS' REMUNERATION REPORT FOR THE YEAR ENDED 30 JUNE 2021 (continued)

Approach to recruitment remuneration

The Board Nominations and Remunerations Committee's overarching principle for recruitment remuneration is to pay no more than is necessary to attract an Executive of the calibre required to shape and deliver Unga's business strategy in recognition that Unga competes for talent in the marketplace. The Committee seeks to align the remuneration package with Unga's remuneration policy as laid out but retains the discretion to offer a remuneration package which is necessary to meet the individual circumstances of the recruited Executive and to enable hiring of an individual with the necessary skills and expertise. However, variable pay will follow the policy.

If an internal candidate is promoted to Executive position, legacy terms and conditions would be honoured, including pension entitlements and any outstanding awards.

Service contracts and policy on payment for loss of office

Executives have rolling employment contracts. The contracts provide for payment of outstanding pay and bonus, or termination following changes in the Group.

Overview of Remuneration in 2021

	Key features	Purpose and link to strategy	Implementation in 2021
Salary	- Reviewed annually in May of every year. - Salaries take account of external market and internal employee context.	Supports the attraction and retention of talent with the capacity to deliver Unga's strategy.	20% salary reduction from July 2020 to December 2020
Allowances and benefits	- Provision of competitive benefits - Maximum company pension contribution is 6% (7.5% of base salary for other employees).	Provision of market competitive and cost-effective benefits supports attraction and retention of talent.	- Unchanged from prior year 6% of employee contribution
Annual incentive	- Target performance bonus opportunity is a maximum of 25% of salary based on Unga's and Seaboard's corporate performance - Paid out in cash in February each year.	- Incentivises delivery of Unga's annual financial and strategic targets. - Provides focus on key financial metrics and the individual's contribution to the company's performance.	There was no bonus payout for 2020-21 financial year.
Long term incentive	There is presently no Long-term incentive scheme within the Group. Non-financial incentives include Executive training and development programs	- Rewards long-term consistent performance in line with Unga's Business strategy. - Provides focus on delivering superior long-term returns to the shareholders.	Leadership Development Program
Shareholding requirement	There is presently no Employee Share Ownership Plan.	Ensure alignment between the interests of Executive Directors and shareholders	N/A

DIRECTORS' REMUNERATION REPORT FOR THE YEAR ENDED 30 JUNE 2021 (continued)

Commentary on Significant Changes to Directors Remuneration

During the year, the Committee's work was centred on overseeing the implementation of the policy and succession planning. The Board undertakes a review on the adequacy of the policy each year to ensure that it supports the Company's Strategy.

The Board is satisfied that the current remuneration policy continues to be appropriate for the Company and will support the implementation of the Group's short term and long-term objectives and therefore there were no significant changes to the Directors Remuneration.

Statement of Voting on the Directors Remuneration Report at the previous Annual General Meeting.

During the Annual General Meeting held on 10 December 2020, the shareholders in attendance approved the Directors' Remuneration policy and Directors' Remuneration Report for the year ended 30 June 2020.

The results on voting were as follows:

	For No of votes	%	Against No of votes	%	Abstain No of votes	%
To approve the Directors Remuneration Policy and the Remuneration Report for the year ended 30 June 2020	54,491,643	85.86%	8,965,179	14.13%	8,285	.01%

At the Annual General Meeting to be held on 10 December 2021, the shareholders will also consider the Directors' Remuneration Report for the year ended 30 June 2021.

The Current Directors' Remuneration Policy and Strategy

Current Policy

The current Directors' Remuneration Policy was tabled and approved by the shareholders at the Company's Annual General Meeting held on 6 December 2018 and has remained unchanged.

The principles which underpin the remuneration of the Non-Executive Directors (NED)s are as follows:-

- The Company should remunerate its Directors fairly and responsibly.
- The remuneration should be sufficient to attract, motivate and retain directors to run the Company effectively.
- The remuneration should be consistent with recognised best practice standards and is competitive in line with remuneration for other directors in competing sectors.
- The remuneration should reflect the Directors' responsibilities, expertise and the complexity of the Company's activities.

The directors have not recommended any change to the remuneration policy for the year ending 30 June 2022.

Payments to past Directors

There was no payment of Directors' fees to past directors during the year.

Approval by shareholders

As per section 681 (4) of the Companies Act, 2015, the Directors Remuneration Report has been presented to the members for approval.

DIRECTORS' REMUNERATION REPORT FOR THE YEAR ENDED 30 JUNE 2021 (continued)

2.0 INFORMATION SUBJECT TO AUDIT

The following table shows a single figure remuneration for the Executive Director, Chairman and Non-Executive Directors in respect of qualifying services for the year ended 30 June 2021 together with the comparative figures for 2020. The aggregate Directors' emoluments are shown in Note 31(iv) of the audited financial statements.

	Salary	Fees	Bonuses	Expense	Loss of Estimated office/ value of	Terminati	non-cash	Total
	Shs 000	Shs 000	Shs 000	allowances Shs 000	on benefits Shs 000	on benefits Shs 000	Shs 000	Shs 000
Year ended 30 June 2021:								
Nicholas Hutchinson	25,313	-	-	1,157	-	-	9,467	35,937
Isabella Ochola Wilson	-	3,972	-	-	-	-	-	3,972
Alan McKittrick	-	2,604	-	-	-	-	-	2,604
Andrew S Ndegwa**	-	2,706	-	-	-	-	-	2,706
Patrick Obath	-	2,592	-	-	-	-	-	2,592
Jinaro Kipkemoi Kibet	-	2,004	-	-	-	-	-	2,004
Vitalis Ondeke Ojode	-	2,004	-	-	-	-	-	2,004
Shilpa Haria	-	2,076	-	-	-	-	-	2,076
Maureen W Miring'u	-	2,472	-	-	-	-	-	2,472
Wangari Murugu	-	2,472	-	-	-	-	-	2,472
Patrick Mugambi**	-	288	-	-	-	-	-	288
	25,313	23,190	-	1,157	-	-	9,467	59,127
Year ended 30 June 2020:								
Nicholas Hutchinson	27,114	-	5,573	1,177	-	-	9,468	43,332
Isabella Ochola Wilson	-	3,468	-	-	-	-	-	3,468
Alan McKittrick	-	2,352	-	-	-	-	-	2,352
Andrew S Ndegwa**	-	2,238	-	-	-	-	-	2,238
Patrick Obath	-	2,112	-	-	-	-	-	2,112
Jinaro Kipkemoi Kibet	-	2,292	-	-	-	-	-	2,292
Vitalis Ondeke Ojode	-	1,848	-	-	-	-	-	1,848
Shilpa Haria	-	1,824	-	-	-	-	-	1,824
Maureen W Miring'u	-	636	-	-	-	-	-	636
Wangari Murugu	-	636	-	-	-	-	-	636
Patrick Mugambi**	-	78	-	-	-	-	-	78
	27,114	17,484	5,573	1,177	-	-	9,468	60,816

***Payment for qualifying services provided by Andrew Ndegwa (alternate Patrick Mugambi) as stated in the tables above was made to First Chartered Securities Limited.*

The Annual Remuneration Report will be put forward for your consideration and approval by vote at the AGM to be held on 10 December 2021.

We were pleased to receive a strong vote in favour of our remuneration policy and and report last year. I highly value the engagement from our shareholders and look forward to welcoming you and receiving your support again at the AGM this year.

On behalf of the Board of Directors



Patrick Obath
Chairman, Nomination and Remuneration Committee
28 September 2021

The Kenyan Companies Act 2015 requires the directors to prepare financial statements for each financial year which give a true and fair view of the financial position of the Company at the end of the financial year and its financial performance for the year then ended. The directors are responsible for ensuring that the Company keeps proper accounting records that are sufficient to show and explain the transactions of the Company; disclose with reasonable accuracy at any time the financial position of the Company; and that enables them to prepare financial statements of the Company that comply with prescribed financial reporting standards and the requirements of the Kenyan Companies Act 2015. They are also responsible for safeguarding the assets of the Company and for taking reasonable steps for the prevention and detection of fraud and other irregularities.

The directors accept responsibility for the preparation and presentation of these financial statements in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act 2015. They also accept responsibility for:

- i. Designing, implementing, and maintaining such internal control as they determine necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.
- ii. Selecting suitable accounting policies and applying them consistently; and
- iii. Making accounting estimates and judgements that are reasonable in the circumstances.

Having assessed the Group and the Company's ability to continue as a going concern, the directors are not aware of any material uncertainties related to events or conditions that may cast doubt upon the Group and the Company ability to continue as a going concern.

The directors acknowledge that the independent audit of the financial statements does not relieve them of their responsibilities.

Approved by the Board of Directors on 28 September 2021 and signed on its behalf by:



I Ochoa- Wilson (Mrs)
Chairman



N Hutchinson
Group managing director



INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF UNGA GROUP Plc

Report on the audit of the financial statements

Our opinion

We have audited the accompanying financial statements of Unga Group Plc (the Company) and its subsidiaries (together, the Group) set out on pages 21 to 75 which comprise the consolidated statement of financial position at 30 June 2021, consolidated statement of profit or loss, consolidated statement of comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the year then ended, together with the Company statement of financial position as at 30 June 2021, statements of profit or loss and other comprehensive income, changes in equity and cash flows for the Company for the year then ended, and the notes to the financial statements, including a summary of significant accounting policies.

In our opinion the accompanying financial statements of Unga Group Plc give a true and fair view of the financial position of the Group and the Company at 30 June 2021 and of their financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Companies Act, 2015.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the financial statements* section of our report.

We are independent of the company in accordance with the International Code of Ethics for Professional Accountants (including International Independence Standards) issued by the International Ethics Standards Board for Accountants (IESBA Code) together with the ethical requirements that are relevant to our audit of the financial statements in Kenya. We have fulfilled our other ethical responsibilities in accordance with the IESBA Code.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

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Partners: E Kerich B Kimacia M Mugasa A Murage F Muriu P Ngahu R Njoroge S O Norbert's B Okundi K Saiti



INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF UNGA GROUP PLC (CONTINUED)

<i>Key audit matter</i>	<i>How our audit addressed the key audit matter</i>
<i>Impairment of property plant and equipment</i> As explained under note 22, an impairment assessment test was carried out to assess the carrying value of certain assets included in property, plant and equipment as required by IAS 36. The test for impairment was significant to our audit because the net carrying value for the assets amounting to Shs 1.4 billion is material to the financial statements and also because the value-in-use calculations prepared by management for assessing whether there is impairment involve the use of significant judgement and assumptions. The assumptions that were most sensitive were the volume growth rate, the discount rate and the gross profit margin percentage.	We evaluated management's value-in-use calculations based on the historical performance of the business, approved budgets and the macro- economic outlook. We tested the value-in-use calculations for accuracy and consistency and also tested the key assumptions for reasonableness including sensitivity analysis. We assessed the adequacy of the disclosures in the financial statements.

Other information

The other information comprises the Corporate Information, Chairman's Statement, Group Managing Director's Statement, Directors' report, Directors' remuneration report, and the Statement of Directors' Responsibilities which we obtained prior to the date of this auditor's report, and the rest of the other information in the Annual Report which are expected to be made available to us after that date but does not include the financial statements and our auditor's report thereon. The directors are responsible for the other information. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in this report, we do not and will not express any form of assurance conclusion thereon.



INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF UNGA GROUP Plc (continued)

In connection with our audit of the financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed on the other information we have received prior to the date of this auditor's report we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

When we read the rest of the other information in the Annual Report and we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of the directors for the financial statements

The directors are responsible for the preparation of financial statements that give a true and fair view in accordance with International Financial Reporting Standards and the requirements of the Companies Act, 2015, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.



INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF UNGA GROUP Plc (continued)

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the Group's financial statements. We are responsible for the direction, supervision and performance of the Group audit. We remain solely responsible for our audit opinion.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.



INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF UNGA GROUP Plc (continued)

Report on other matters prescribed by the Companies Act, 2015

Report of the directors

In our opinion the information given in the report of directors' report on pages 8 - 9 is consistent with the financial statements.

Directors' remuneration report

In our opinion the auditable part of the directors' remuneration report on page 14 has been properly prepared in accordance with the Companies Act, 2015.

Bernice Kimacia

**CPA Bernice Kimacia – Practising Certificate No. 1457
Engagement partner responsible for the audit**

**For and on behalf of PricewaterhouseCoopers LLP
Certified Public Accountants
Nairobi**

28 September 2021

Consolidated statement of profit or loss

For the year ended 30 June	Notes	2021 Shs '000	2020 Shs '000
Revenue from contracts with customers	5	17,812,638	17,569,967
Cost of sales		(15,923,564)	(15,927,981)
Gross profit		1,889,074	1,641,986
Other income	8	24,738	31,800
Selling and distribution costs		(819,651)	(800,873)
Administrative expenses		(477,959)	(573,132)
Operating profit	11	616,202	299,781
Finance income	10	19,597	18,537
Finance costs	10	(150,567)	(200,228)
Profit before income tax		485,232	118,090
Income tax expense	13	(178,267)	(25,403)
Profit from continuing operations		306,965	92,687
Loss from discontinuing operations	32	(13,488)	(26,526)
Profit for the year		293,477	66,161
Attributable to:			
Owners of the parent		179,175	34,146
Non-controlling interests		114,302	32,015
		293,477	66,161

Earnings per share attributable to owners of the Company (expressed in Kenya shilling).

		2021	2020
Basic and diluted earnings per share	6	2.39	0.45
Continuing operations		2.51	0.68
Discontinuing operations		(0.12)	(0.23)

Consolidated statement of comprehensive income

For the year ended 30 June	Notes	2021 Shs'000	2020 Shs'000
Profit for the year		293,477	66,161
Other comprehensive income for the year			
<i>Items that will not be subsequently reclassified to profit or loss</i>			
Re-measurement of retirement benefit scheme asset	27	23,031	9,579
Deferred income tax thereon		(6,909)	(2,395)
<i>Items that may be reclassified to profit or loss</i>			
Currency translation differences on foreign operations		(10,838)	252
Total other comprehensive loss income for the year		5,284	7,436
Total comprehensive income for the year		298,761	73,597
Attributable to;			
Owners of the parent		187,304	38,979
Non-controlling interest		111,457	34,618
		298,761	73,597

Company statement of profit or loss and other comprehensive income

	Notes	2021 Shs'000	2020 Shs'000
Interest income	10	56	155
Administrative expenses		(35,815)	(30,828)
Loss before income tax	11	(35,759)	(30,673)
Income tax expense		-	-
Loss for the year		(35,759)	(30,673)
Other comprehensive income		-	-
Total comprehensive loss		(35,759)	(30,673)

Consolidated statement of financial position

ASSETS	Notes	2021 Shs'000	2020 Shs'000
Non-current assets			
Property, plant and equipment	22	3,524,311	3,963,751
Right-of-use assets	23	130,667	146,099
Intangible asset	24	14,026	24,115
Deferred income tax	18	4,716	3,962
Retirement benefits scheme asset	27	43,698	-
		<u>3,717,418</u>	<u>4,137,927</u>
Current assets			
Inventories	19	2,461,724	4,615,753
Trade and other receivables	20	2,047,381	2,540,018
Current income tax		16,620	95,692
Cash and bank balances	29	1,521,050	661,486
		<u>6,046,775</u>	<u>7,912,949</u>
Assets held for sale	32	<u>284,586</u>	<u>-</u>
TOTAL ASSETS		<u><u>10,048,779</u></u>	<u><u>12,050,876</u></u>
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	14	378,535	378,535
Share premium	14	73,148	73,148
Other reserves	15	(33,169)	(41,298)
Retained earnings		<u>3,809,445</u>	<u>3,630,270</u>
		<u>4,227,959</u>	<u>4,040,655</u>
Non-controlling interests	16	<u>2,161,955</u>	<u>2,050,498</u>
Total equity		<u><u>6,389,914</u></u>	<u><u>6,091,153</u></u>
LIABILITIES			
Non-current liabilities			
Post-employment benefits obligation	27	-	3,543
Deferred income tax	18	363,062	269,099
Borrowings	17	558,162	592,803
Capital grants	26	-	64,674
Lease liabilities	23	-	11,221
		<u>921,224</u>	<u>941,340</u>
Current liabilities			
Post-employment benefits obligation	27	14,010	-
Trade and other payables	21	2,372,875	4,747,086
Current income tax		30,224	6,762
Lease liabilities	23	19,464	27,637
Borrowings	17	<u>239,718</u>	<u>236,898</u>
		<u>2,676,291</u>	<u>5,018,383</u>
Liabilities directly associated with assets classified as held for sale	32	<u>61,350</u>	<u>-</u>
Total liabilities		<u><u>3,658,865</u></u>	<u><u>5,959,723</u></u>
TOTAL EQUITY AND LIABILITIES		<u><u>10,048,779</u></u>	<u><u>12,050,876</u></u>

The financial statements on pages 21 to 75 were approved for issue by the Board of Directors on 28 September 2021 and signed on its behalf by

I Ochola- Wilson (Mrs)
Chairman

N Hutchinson
Group managing director

Company statement of financial position

At 30 June	Notes	2021 Shs '000	2020 Shs '000
ASSETS			
Non-current assets			
Investments in subsidiaries	25	1,297,335	1,297,335
Total non-current assets		1,297,335	1,297,335
Current assets			
Trade and other receivables	20	60,929	66,857
Cash and bank balances	29	2,990	2,962
Total current assets		63,919	69,819
TOTAL ASSETS		1,361,254	1,367,154
EQUITY AND LIABILITIES			
Capital and reserves			
Ordinary shares	14	378,535	378,535
Share premium	14	73,148	73,148
Retained earnings		684,580	720,339
Total equity		1,136,263	1,172,022
Current liabilities			
Trade and other payables	21	224,991	195,132
Total current liabilities		224,991	195,132
TOTAL EQUITY AND LIABILITIES		1,361,254	1,367,154

The financial statements on pages 21 to 75 were approved for issue by the Board of Directors on 28 September 2021 and signed on its behalf by:

I Ochoa- Wilson (Mrs)

Chairman

N Hutchinson

Group managing director

Consolidated statement of changes in equity

	Share capital Shs '000	Share premium Shs '000	Other reserves Shs '000	Retained earnings Shs '000	Equity attributable to equity holders Shs '000	Non-controlling interests Shs '000	Total Shs '000
Year ended 30 June 2021							
At start of year	378,535	73,148	(41,298)	3,630,270	4,040,655	2,050,498	6,091,153
Profit for the year	-	-	-	179,175	179,175	114,302	293,477
Other comprehensive income for the year	-	-	8,129	-	8,129	(2,845)	5,284
Total comprehensive income for the year	-	-	8,129	179,175	187,304	111,457	298,761
At end of year	378,535	73,148	(33,169)	3,809,445	4,227,959	2,161,955	6,389,914
Year ended 30 June 2020							
At start of year	378,535	73,148	(46,131)	3,633,977	4,039,529	2,015,880	6,055,409
Profit for the year	-	-	-	34,146	34,146	32,015	66,161
Other comprehensive income for the year	-	-	4,833	-	4,833	2,603	7,436
Total comprehensive income for the year	-	-	4,833	34,146	38,979	34,618	73,597
Transactions with owners							
Dividend paid to equity holders (Note 7)	-	-	-	(37,853)	(37,853)	-	(37,853)
At end of year	378,535	73,148	(41,298)	3,630,270	4,040,655	2,050,498	6,091,153

Company statement of changes in equity

	Share Capital Shs'000	Share Premium Shs'000	Retained earnings Shs'000	Total Shs'000
Year ended 30 June 2021				
At start of year	378,535	73,148	720,339	1,172,022
Total comprehensive income	-	-	(35,759)	(35,759)
Transactions with owners				
Dividends paid	-	-	-	-
At end of year	378,535	73,148	684,580	1,136,263
Year ended 30 June 2020				
At start of year	378,535	73,148	788,865	1,240,548
Total comprehensive income	-	-	(30,673)	(30,673)
Transactions with owners				
Dividends paid	-	-	(37,853)	(37,853)
At end of year	378,535	73,148	720,339	1,172,022

Consolidated statement of cash flows

	Notes	2021 Shs'000	2020 Shs'000
Operating activities			
Cash generated from operations	28	1,213,305	868,681
Income tax paid		(48,013)	(82,738)
Interest paid		(114,702)	(179,688)
Net cash flows from operating activities		1,050,590	606,255
Investing activities			
Purchase of property, plant and equipment	22	(141,530)	(473,318)
Payments for right-of-use assets	23	(2,700)	-
Purchase of intangible assets	24	-	(6,943)
Proceeds of disposal of property, plant and equipment		10,723	4,052
Net cash flows used in investing activities		(133,507)	(476,209)
Financing activities			
Dividends paid to equity holders	7	-	(37,853)
Repayments of borrowings	17	(31,821)	(233,164)
Payment of lease liabilities	23	(27,289)	(34,627)
Capital grants received	26	-	8,168
Net cash flows used in financing activities		(59,110)	(297,476)
Net increase/ (decrease) in cash and cash equivalents		857,973	(167,430)
Movement in cash and cash equivalents			
At start of year		661,486	841,338
Increase/ (decrease)		857,973	(167,430)
Effects of exchange rate changes		1,591	(12,422)
At end of year	29	1,521,050	661,486

Company statement of cash flows

	Notes	2021 Shs'000	2020 Shs'000
Operating activities			
Cash generated from operations	28	28	38,059
Income tax paid			-
Net cash from operating activities		28	38,059
Financing activities			
Dividends paid to shareholders	7	-	(37,853)
Net cash flows used in financing activities		-	(37,853)
Net increase in cash and cash equivalents		28	206
Movement in cash and cash equivalents			
At start of year		2,962	2,756
Increase		28	206
At end of year	29	2,990	2,962

Notes

1 General information

Unga Group Plc is incorporated in Kenya under the Companies Act as a limited liability company and is domiciled in Kenya. The address of its registered office is:

Plot No.209/6841
Ngano House, Commercial Street
Industrial Area
P O Box 30096, 00100
Nairobi

2 Summary of significant accounting policies

The principal accounting policies applied in the preparation of these consolidated financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

(a) Basis of preparation

The financial statements have been prepared in accordance with International Financial Reporting Standards ("IFRS"). The measurement basis applied is the historical cost basis. All values are shown in thousands of Kenya Shillings.

The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the Group's accounting policies. The areas involving a higher degree of judgement or complexity, or where assumptions and estimates are significant to the financial statements, are disclosed in Note 3.

Changes in accounting policy and disclosures

i) New standards, amendments and interpretations adopted by the Group and Company

A number of amendments to standards became effective for the first time in the financial year beginning 1 July 2020 and have been adopted by the Company. The amendments have not had a significant impact on the financial statements of the Group and Company. They include:

Amendment to IFRS 3, 'Business combinations' - Definition of a business

This amendment revises the definition of a business. According to feedback received by the IASB, application of the current guidance is commonly thought to be too complex, and it results in too many transactions qualifying as business combinations. More acquisitions are likely to be accounted for as asset acquisitions.

To be considered a business, an acquisition would have to include an input and a substantive process that together significantly contribute to the ability to create outputs. The new guidance provides a framework to evaluate when an input and a substantive process are present (including for early stage companies that have not generated outputs). To be a business without outputs, there will now need to be an organised workforce.

The application of the amendment had no material impact on the financial statements.

Notes (continued)

2 Summary of significant accounting policies (continued)

(a) Basis of preparation (continued)

Changes in accounting policy and disclosures (continued)

1) New standards, amendments and interpretations adopted by the Group (continued)

Amendment to IAS 1, 'Presentation of financial statements' and IAS 8, 'Accounting policies, changes in accounting estimates and errors' on the definition of material

These amendments to IAS 1 and IAS 8 and consequential amendments to other IFRSs:

- use a consistent definition of materiality through IFRSs and the Conceptual Framework for Financial Reporting;
- clarify the explanation of the definition of material; and
- incorporate some of the guidance in IAS 1 about immaterial information.

The amended definition is:

"Information is material if omitting, misstating or obscuring it could reasonably be expected to influence decisions that the primary users of general purpose financial statements make on the basis of those financial statements, which provide financial information about a specific reporting entity."

The application of the amendment had no material impact on the financial statements.

Amendments to IFRS 9, 'Financial Instruments', IAS 39, 'Financial Instruments: Recognition and Measurement' and IFRS 7, 'Financial Instruments: Disclosure' – Interest rate benchmark reform (Phase 1)

These amendments provide certain reliefs in connection with interest rate benchmark reform (IBOR). The reliefs relate to hedge accounting and have the effect that IBOR should not generally cause hedge accounting to terminate. However, any hedge ineffectiveness should continue to be recorded in the income statement.

The application of the amendment had no material impact on the financial statements.

Amendments to IFRS 9 'Financial Instruments', IAS 39 'Financial Instruments: Recognition and Measurement', IFRS 7 'Financial Instruments: Disclosures', IFRS 4 'Insurance Contracts' and IFRS 16 'Leases' – interest rate benchmark (IBOR) reform (Phase 2)

The Phase 2 amendments address issues that arise from the implementation of the reform of an interest rate benchmark, including the replacement of one benchmark with an alternative one.

The application of the amendment had no material impact on the financial statements.

IFRS 16, 'Leases' COVID-19-Related Rent Concessions Amendment

The IASB has provided lessees (but not lessors) with relief in the form of an optional exemption from assessing whether a rent concession related to COVID-19 is a lease modification, provided that the concession meets certain conditions. Lessees can elect to account for qualifying rent concessions in the same way as they would if they were not lease modifications. In many cases, this will result in accounting for the concession as a variable lease payment.

The application of the amendment had no material impact on the financial statements.

Notes (continued)

2 Summary of significant accounting policies (continued)

(a) Basis of preparation (continued)

Changes in accounting policy and disclosure (continued)

(ii) New standards, amendments and interpretations not yet adopted by the Group

A number of new standards, amendments to standards and interpretations are effective for annual periods beginning after 1 July 2021 and have not been early adopted in preparing these financial statements. These standards are not expected to have a material impact on the Group and Company in the current or future reporting periods and on foreseeable future transactions. They include:

Amendment to IAS 1 'Presentation of Financial Statements' on Classification of Liabilities as Current or Non-current

The amendment clarifies that liabilities are classified as either current or non-current, depending on the rights that exist at the end of the reporting period. Classification is unaffected by expectations of the entity or events after the reporting date (for example, the receipt of a waiver or a breach of covenant). The standard is effective for annual periods beginning on or after 1 January 2022.

The Directors of the Group do not anticipate that the application of the amendments in the future will have a material impact on the financial statements.

Amendment to IFRS 3, 'Business combinations'

The Board has updated IFRS 3, 'Business combinations', to refer to the 2018 Conceptual Framework for Financial Reporting, in order to determine what constitutes an asset or a liability in a business combination.

In addition, the Board added a new exception in IFRS 3 for liabilities and contingent liabilities. The exception specifies that, for some types of liabilities and contingent liabilities, an entity applying IFRS 3 should instead refer to IAS 37, 'Provisions, Contingent Liabilities and Contingent Assets', or IFRIC 21, 'Levies', rather than the 2018 Conceptual Framework.

The Board has also clarified that the acquirer should not recognise contingent assets, as defined in IAS 37, at the acquisition date.

The standard is effective for annual periods beginning on or after 1 January 2022.

The Directors of the Group do not anticipate that the application of the amendments in the future will have a material impact on the financial statements.

Amendments to IAS 16 'Property, Plant and Equipment' on Proceeds before Intended Use

The amendment to IAS 16 prohibits an entity from deducting from the cost of an item of PPE any proceeds received from selling items produced while the entity is preparing the asset for its intended use (for example, the proceeds from selling samples produced when testing a machine to see if it is functioning properly). The proceeds from selling such items, together with the costs of producing them, are recognised in profit or loss. The standard is effective for annual periods beginning on or after 1 January 2022.

The Directors of the Group do not anticipate that the application of the amendments in the future will have a material impact on the financial statements

Notes (continued)

2 Summary of significant accounting policies (continued)

(b) Consolidation

(i) Subsidiaries

Subsidiaries are all entities (including structured entities) over which the Group has control. The Group controls an entity when the Group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are deconsolidated from the date that control ceases.

The Group applies the acquisition method to account for business combinations. The consideration transferred for the acquisition of a subsidiary is the fair values of the assets transferred, the liabilities incurred to the former owners of the acquiree and the equity interests issued by the Group. The consideration transferred includes the fair value of any asset or liability resulting from a contingent consideration arrangement. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. The Group recognises any non-controlling interest in the acquiree on an acquisition-by-acquisition basis, either at fair value or at the non-controlling interest's proportionate share of the recognised amounts of acquiree's identifiable net assets.

Investments in subsidiaries are accounted for at cost less impairment in parent company financial statements. Cost is adjusted to reflect changes in consideration arising from contingent consideration amendments. Cost also includes direct attributable costs of investment.

The excess of the consideration transferred over the amount in the acquiree and the acquisition-date fair value over any previous equity interest in the acquiree over the fair value of the Group's share of the identifiable net assets acquired is recorded as goodwill. If this is less than the fair value of the net assets of the subsidiary acquired in the case of a bargain purchase, the difference is recognised directly in profit or loss.

Inter-Company transactions, balances and unrealised gains on transactions between Group companies are eliminated. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred. Accounting policies of subsidiaries have been changed where necessary to ensure consistency with the policies adopted by the Group.

(ii) Transactions and non-controlling interests

The Group treats transactions with non-controlling interests as transactions with equity owners of the Group. For purchases from non-controlling interests, the difference between any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiary is recorded in equity. Gains or losses on disposals to non-controlling interests are also recorded in equity.

When the Group ceases to have control or significant influence, any retained interest in the entity is re-measured to its fair value, with the change in carrying amount recognised in profit or loss. The fair value is the initial carrying amount for the purposes of subsequently accounting for the retained interest as an associate, joint venture or financial asset. In addition, any amounts previously recognised in other comprehensive income in respect of that entity are accounted for as if the Group had directly disposed of the related assets or liabilities. This may mean that amounts previously recognised in other comprehensive income are reclassified to profit or loss.

(c) Segment reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker. The chief operating decision maker, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the steering committee that makes strategic decisions.

Notes (continued)

2 Summary of significant accounting policies (continued)

(d) Functional currency and translation of foreign currencies

(i) Functional and presentation currency

Items included in the financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates ('the functional currency'). The consolidated financial statements are presented in Kenya Shillings, which is the Company's functional currency.

(ii) Transactions and balances

Foreign currency transactions are translated into the functional currency of the respective entity using the exchange rates prevailing at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in profit or loss.

Translation differences on non-monetary items, such as equities held at fair value through profit or loss are reported as part of the fair value profit or loss in profit or loss. Translation differences on non-monetary items, such as equities classified as available-for-sale financial assets are included in the fair value reserve in equity.

(iii) Group companies

The results and financial position of all the Group entities (none of which has the currency of a hyperinflationary economy) that have a functional currency different from the presentation currency are translated into the presentation currency as follows:

- Assets and liabilities for each statement of financial position presented are translated at the closing rate at the date of that statement of financial position;
- Income and expenses for each income statement are translated at average exchange rates (unless this average is not a reasonable approximation of the cumulative effect of the rates prevailing on the transaction dates, in which case income and expenses are translated at the dates of the transactions); and
- All resulting exchange differences are recognised as a separate component of equity.

On consolidation, exchange differences arising from the translation of the net investment in foreign entities are taken to statement of other comprehensive income. When a foreign operation is sold, such exchange differences are recognised in the income statement as part of the gain or loss on sale.

(e) Revenue from contracts with customers

Revenue comprises the fair value of the consideration received or receivable for the sale of goods and services in the ordinary course of the Group's activities. Revenue is shown net of value-added tax (VAT), returns, rebates and discounts and after eliminating sales within the Group.

The Group manufactures human nutrition products, animal nutrition products and distributes animal health products. Sales of goods are recognised at a point in time depending on the nature of goods and services, when the Group delivers products to the customer and there are no unfulfilled obligations that could affect the customers' acceptance of the goods. There is no variable element to the contract price, and payment, less any deposit already paid, is typically due within 30 days of delivery.

Notes (continued)

2 Summary of significant accounting policies (continued)

(f) Property, plant and equipment

All categories of property, plant and equipment are initially recorded at cost and subsequently depreciated. Historical cost includes expenditure that is directly attributable to the acquisition of the items.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. All other repairs and maintenance are charged to the statement of comprehensive income during the financial period in which they are incurred.

Freehold land is not depreciated. Depreciation is calculated using the straight line method to write down the cost of each asset to its residual value over its estimated useful life as follows:

Buildings on long leasehold land	2.5%
Buildings on short leasehold land	over period of lease
Computer equipment	33.3%
Plant and machinery	5 - 7.5%
Furniture and fittings	12.5%
Motor vehicles	25%
Silos	Shorter of 50 years or the unexpired period of the lease for the land on which they are built

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at the end of each reporting period. An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

Property, plant and equipment are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (cash-generating units). Non-financial assets that suffered impairment are reviewed for possible reversal of the impairment at each reporting date.

Gains and losses on disposals are determined by comparing the proceeds with the carrying amount and are included in profit or loss.

(g) Intangible assets

Computer software

Costs associated with maintaining computer software programmes are recognized as an expense as incurred. Development costs that are directly attributable to the design and testing of identifiable and unique software products controlled by the Group are recognized as intangible assets when the following criteria are met:

- It is technically feasible to complete the software product so that it will be available for use;
- Management intends to complete the software product and use or sell it;
- There is an ability to use or sell the software product;
- It can be demonstrated how the software product will generate probable future economic benefits;
- Adequate technical, financial and other resources to complete the development and to use or sell the software product are available; and
- The expenditure attributable to the software product during its development can be reliably measured.

Notes (continued)

2 Summary of significant accounting policies (continued)

(g) Intangible assets (continued)

Computer software(continued)

Directly attributable costs that are capitalized as part of the software product include the software development employee costs and an appropriate portion of relevant overheads. Other development expenditures that do not meet these criteria are recognized as an expense as incurred.

Developments costs previously recognized as an expense are not recognized as an asset in a subsequent period. Computer software development costs recognized as assets are amortized over their estimated useful lives, which does not exceed three years.

(h) Non-current assets (or disposal Groups) held for sale

Non-current assets (or disposal Groups) are classified as assets held for sale when their carrying amount is to be recovered principally through a sale transaction and a sale is considered highly probable. They are stated at the lower of carrying amount and fair value less costs to sell.

(i) Impairment of non-financial assets

Assets that have an indefinite useful life are not subject to depreciation or amortisation but are tested annually for impairment. Assets that are subject to depreciation or amortisation are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are Grouped at the lowest levels for which there are separately identifiable cash flows (cash-generating units). Non-financial assets other than goodwill that suffered impairment are reviewed for possible reversal of the impairment at each reporting date.

(j) Inventories

Inventories are stated at the lower of cost and net realisable value. Cost comprises expenditure directly incurred in purchasing or manufacturing the inventories plus an allocation of normal overhead expenditure attributable to the processes of production hence the cost is determined using standard costs that approximate actual weighted average cost. The cost of engineering spares is determined using the weighted average cost method. Net realisable value represents the estimated selling price less all estimated costs to completion and costs to be incurred in selling and distribution. Specific provisions are made for obsolete, slow moving and defective inventories.

(k) Share capital

Ordinary shares are classified as 'share capital' in equity. Any premium received over and above the par value of the shares is classified as 'share premium' in equity.

(l) Cash and cash equivalents

Cash and cash equivalents include cash in hand, deposits held at call with banks, other short term highly liquid investments with original maturities of three months or less, and bank overdrafts. Bank overdrafts are shown within borrowings in current liabilities on the statement of financial position.

Notes (continued)

2 Summary of significant accounting policies (continued)

(m) Financial instruments

(i) Initial recognition

Financial instruments are recognised when, and only when, the Group becomes party to the contractual provisions of the instrument. All financial assets are recognised initially using the trade date accounting which is the date the Group commits itself to the purchase or sale.

(ii) Classification

The Group classifies its financial instruments into the following categories:

- a) Financial assets that are held within a business model whose objective is to hold assets in order to collect contractual cash flows, and for which the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding, are classified and measured at **amortised cost**;
- b) Financial assets that are held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets, and for which the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding, are classified and measured at **fair value through other comprehensive income**;
- c) All other financial assets are classified and measured at **fair value through profit or loss**;

Notwithstanding the above, the Group may:

- On initial recognition of an equity investment that is not held for trading, irrevocably elect to classify and measure it at fair value through other comprehensive income; and
 - On initial recognition of a debt instrument, irrevocably designate it as classified and measured at fair value through profit or loss if doing so eliminates or significantly reduces a measurement or recognition inconsistency.
- d) Financial liabilities that are held for trading (including derivatives), financial guarantee contracts, or commitments to provide a loan at a below-market interest rate are classified and measured at fair value through profit or loss. The Group may also, on initial recognition, irrevocably designate a financial liability as at fair value through profit or loss if doing so eliminates or significantly reduces a measurement or recognition inconsistency.
 - e) All other financial liabilities are classified and measured at amortised cost.

Financial instruments held during the year were classified as shown under note 2 *IFRS 9-Financial instruments*- classification and measurement above.

(iii) Initial measurement

On initial recognition:

- a) Financial assets or financial liabilities classified as at fair value through profit or loss are measured at fair value.
- b) Trade receivables are measured at their transaction price.
- c) All other categories of financial assets and financial liabilities are measured at the fair value plus or minus transaction costs that are directly attributable to the acquisition or issue of the instrument.

Notes (continued)

2 Summary of significant accounting policies (continued)

(m) Financial instruments (continued)

(iv) Subsequent measurement

Financial assets and financial liabilities after initial recognition are measured either at amortised cost, at fair value through other comprehensive income, or at fair value through profit or loss according to their classification.

Interest income, dividend income, and exchange gains and losses on monetary items are recognised in profit or loss.

Amortised cost is the amount at which the financial asset or liability is measured on initial recognition minus principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between the initial amount and the maturity amount and, for financial assets, adjusted for any loss allowance.

(v) Impairment

The Group recognises a loss allowance for expected credit losses on debt instruments that are measured at amortised cost or at fair value through other comprehensive income. The loss allowance is measured at an amount equal to the lifetime expected credit losses for trade receivables and for financial instruments for which: (a) the credit risk has increased significantly since initial recognition; or (b) there is observable evidence of impairment (a credit-impaired financial asset). If, at the reporting date, the credit risk on a financial asset other than a trade receivable has not increased significantly since initial recognition, the loss allowance is measured for that financial instrument at an amount equal to 12-month expected credit losses. All changes in the loss allowance are recognised in profit or loss as impairment gains or losses.

The Group has adopted the Expected Credit Losses (ECL) model to determine the impairment of trade receivables. The Group opted to adopt the simplified approach of determining the impairment provision. This model includes some operational simplifications for trade and other receivables because they are often held by entities that do not have sophisticated credit risk management systems. These simplifications eliminate the need to calculate 12-month ECL and to assess when a significant increase in credit risk has occurred.

(vi) Presentation

All financial assets are classified as non-current except those that are held for trading, those with maturities of less than 12 months from the balance sheet date, those which management has the express intention of holding for less than 12 months from the balance sheet date or those that are required to be sold to raise operating capital, in which case they are classified as current assets.

All financial liabilities are classified as non-current except those held for trading, those expected to be settled in the Group's normal operating cycle, those payable or expected to be paid within 12 months of the balance sheet date and those which the Group does not have an unconditional right to defer settlement for at least 12 months after the statement of financial position date.

Notes (continued)

2 Summary of significant accounting policies (continued)

(m) Financial instruments (continued)

(vii) Derecognition/write off

Financial assets are de-recognised when the rights to receive cash flows from the financial asset have expired, when the Group has transferred substantially all risks and rewards of ownership, or when the Group has no reasonable expectations of recovering the asset.

Financial liabilities are de-recognised only when the obligation specified in the contract is discharged or cancelled or expires.

When a financial asset measured at fair value through other comprehensive income, other than an equity instrument, is derecognised, the cumulative gain or loss previously recognised in other comprehensive income is reclassified from equity to profit or loss as a reclassification adjustment. For equity investments for which an irrevocable election has been made to present changes in fair value in other comprehensive income, such changes are not subsequently transferred to profit or loss.

(viii) Offsetting

Financial assets and liabilities are offset and the net amount reported in the balance sheet only when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis, or realise the asset and settle the liability simultaneously.

(n) Leases

The Group's leasing activities and how they are accounted for

The Group leases various warehouses, office spaces and vehicles. Rental contracts are typically made for fixed periods of 6 months to 4 years but may have extension options. There are no non-lease components in the lease contracts and consideration is based on their relative stand-alone prices.

Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions. The lease agreements do not impose any covenants and there are no security interests in the leased assets that are held by the lessor.

Leases are recognised as a right-of-use asset and a corresponding liability at the date at which the leased asset is available for use by the Group. Assets and liabilities arising from a lease are initially measured on a present value basis. Lease liabilities include the net present value of the following lease payments:

- Fixed payments (including in-substance fixed payments), less any lease incentives receivable;
- Amounts expected to be payable by the group under residual value guarantees;
- The exercise price of a purchase option if the group is reasonably certain to exercise that option; and
- Payments of penalties for terminating the lease, if the lease term reflects the Group exercising that option.

Notes (continued)

2 Summary of significant accounting policies (continued)

(n) Leases (continued)

The Group's leasing activities and how they are accounted for (continued)

Lease payments to be made under reasonably certain extension options are also included in the measurement of the liability.

The lease payments are discounted using the interest rate implicit in the lease. If that rate cannot be readily determined, which is generally the case for leases in the Group, the lessee's incremental borrowing rate is used, being the rate that the individual lessee would have to pay to borrow the funds necessary to obtain an asset of similar value to the right-of-use asset in a similar economic environment with similar terms, security and conditions.

To determine the incremental borrowing rate, the Group has used recent third-party financing received by the individual lessee as a starting point, adjusted to reflect changes in financing conditions since third party financing was received.

Lease payments are allocated between principal and finance cost. The finance cost is charged to profit or loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period.

Right-of-use assets are measured at cost comprising the following:

- The amount of the initial measurement of lease liability;
- Any lease payments made at or before the commencement date less any lease incentives received;
- any initial direct costs; and
- Restoration costs.

Right-of-use assets are generally depreciated over the lease term on a straight-line basis. Payments associated with short-term leases of low-value assets are recognised on a straight-line basis as an expense in profit or loss. Short-term leases are leases with a lease term of 12 months or less

Extension and termination terms

Extension and termination options are included in the leases across the Group. These are used to maximise operational flexibility in terms of managing the assets used in the Group's operations. The majority of extension and termination options held are exercisable only by the Group and not by the respective lessor.

Notes (continued)

2 Summary of significant accounting policies (continued)

(o) Employee benefits

(i) Retirement benefit scheme assets

The Group operates defined benefit retirement schemes for its employees. Typically, defined benefit plans define an amount of pension benefit that an employee will receive on retirement, usually dependent on one or more factors such as age, years of service and compensation.

The liability/ asset recognised in the balance sheet in respect of defined benefit pension plans is the present value of the defined benefit obligation at the end of the reporting period less the fair value of plan assets. The defined benefit obligation is calculated annually by independent actuaries using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest rates of high-quality corporate bonds that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related pension obligation. In countries where there is no deep market in such bonds, the market rates on government bonds are used.

Actuarial gains and losses arising from experience adjustments and changes in actuarial assumptions are charged or credited to equity in other comprehensive income in the period in which they arise. Past-service costs are recognised immediately in income. The assets of all schemes are held in separate trustee administered funds, which are funded by contributions from both the Group and employees.

The Group employees also contribute to the appropriate National Social Security Funds, which is a defined contribution scheme.

(ii) Other post-employment obligations

The Group operates an unfunded service gratuity benefit scheme for unionisable employees based on basic salary and years of service. A provision is made for the estimated liability for such entitlements as a result of services rendered by employees up to the reporting date.

The estimated monetary liability for employees' accrued annual leave entitlement at the reporting date is recognised as an expense accrual.

(p) Dividend distribution

Dividends payable on ordinary shares are charged to retained earnings in the period in which they are declared. Proposed dividends are not accrued for until ratified in an Annual General Meeting.

(q) Provisions

Provisions are recognised when: the Group has a present legal or constructive obligation as a result of past events; it is probable that an outflow of resources will be required to settle the obligation; and the amount has been reliably estimated. Provisions are not recognised for future operating losses.

Provisions are measured at the present value of the expenditures expected to be required to settle the obligation using a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the obligation. The increase in the provision due to passage of time is recognised as interest expense.

Notes (continued)

(r) Current and deferred income tax

The tax expense for the period comprises current and deferred income tax. Tax is recognised in the income statement except to the extent that it relates to items recognised in other comprehensive income or directly in equity. In this case, the tax is also recognised in other comprehensive income or directly in equity respectively.

The current income tax charge is calculated based on the tax law enacted or substantively enacted at the reporting date in the countries where the company and its subsidiaries operate and generate taxable income. The directors periodically evaluate positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. They establish provisions where appropriate based on amounts expected to be paid to the tax authorities.

Deferred income tax is recognised, using the liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying values in the financial statements. However, deferred income tax is not accounted for if it arises from initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss. Deferred income tax is determined using tax rates and laws that have been enacted or substantively enacted at the reporting date and are expected to apply when the related deferred income tax liability is settled or asset realised.

Deferred income tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilised.

Deferred income tax is provided on temporary differences arising on investments in subsidiaries and associates, except where the timing of the reversal of the temporary difference is controlled by the Group and it is probable that the temporary difference will not reverse in the foreseeable future.

Deferred income tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets against current tax liabilities and when the deferred income tax assets and liabilities relate to income taxes levied by the same taxation authority on either the same taxable entity or different taxable entities where there is an intention to settle the balances on a net basis.

(s) Borrowings

Borrowings are recognised initially at fair value, net of transaction costs incurred.

Borrowings are subsequently stated at amortised cost using the effective interest method; any differences between proceeds (net of transaction costs) and the redemption value is recognised in the income statement over the period of the borrowings using the effective interest method.

(t) Grants

Grants are recognised at their fair value where there is a reasonable assurance that the grant will be received, and the Group will comply with all attached conditions.

(i) Revenue Grants

Grants received to compensate expenses or for the purpose of giving immediate support to the Group with no future related costs are recognised in the statement of profit or loss in the year of receipt.

(ii) Capital Grants

Where a grant is related to an asset, the grant is presented in the statement of financial position and is credited in the statement of profit or loss over the periods and in the proportions in which depreciation expense on those assets they are used to finance is recognized.

Notes (continued)

2 Summary of significant accounting policies (continued)

(u) Other income

Interest Income is recognised using the effective interest method.

Dividends are recognised as income in the period the right to receive payment is established.

(v) Non-current assets (or disposal groups) held for sale and discontinued operations

Non-current assets (or disposal groups) are classified as held for sale if their carrying amount will be recovered principally through a sale transaction rather than through continuing use and a sale is considered highly probable. They are measured at the lower of their carrying amount and fair value less costs to sell, except for assets such as deferred tax assets, assets arising from employee benefits, financial assets and investment property that are carried at fair value and contractual rights under insurance contracts, which are specifically exempt from this requirement.

An impairment loss is recognised for any initial or subsequent write-down of the asset (or disposal group) to fair value less costs to sell. A gain is recognised for any subsequent increases in fair value less costs to sell of an asset (or disposal group), but not in excess of any cumulative impairment loss previously recognised. A gain or loss not previously recognised by the date of the sale of the non-current asset (or disposal group) is recognised at the date of derecognition.

Non-current assets (including those that are part of a disposal group) are not depreciated or amortised while they are classified as held for sale. Interest and other expenses attributable to the liabilities of a disposal group classified as held for sale continue to be recognised

Non-current assets classified as held for sale and the assets of a disposal group classified as held for sale are presented separately from the other assets in the balance sheet. The liabilities of a disposal group classified as held for sale are presented separately from other liabilities in the balance sheet

A discontinued operation is a component of the entity that has been disposed of or is classified as held for sale and that represents a separate major line of business or geographical area of operations, is part of a single co-ordinated plan to dispose of such a line of business or area of operations, or is a subsidiary acquired exclusively with a view to resale. The results of discontinued operations are presented separately in the statement of profit or loss.

Notes (continued)

3 Critical accounting estimates and judgements

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expected future events that are believed to be reasonable under the circumstances.

(i) Critical accounting estimates and assumptions

Useful lives of plant and equipment

Critical estimates are made by directors in determining the useful lives and residual values of property, plant and equipment based on the intended use and economic lives of those assets. The depreciation rates applied in the year are set out in Note 2 (f).

Subsequent changes in circumstances such as technological advances or prospective utilisation of the assets concerned could result in the actual useful lives or residual values differing from initial estimates.

The directors have prepared value-in-use calculations to test whether there is impairment on the Company's assets. Critical assumptions made by the directors in calculating the value-in-use of certain assets are set out in Note 22.

Impairment losses on financial assets

The measurement of the expected credit loss allowance for financial assets measured at amortised costs is an area that requires the use of models and significant assumptions about future economic condition and credit behavior (e.g. the likelihood of customers defaulting and the resulting losses). A number of significant judgements and estimations are also required in applying the accounting requirements for measuring ECL, such as:

The application of IFRS 9 risk parameters i.e. Probably of default (PD), Loss given at default (LGD) and the definition of default for trade receivables.

Notes (continued)

4 Financial risk management objectives and policies

The Group's activities expose it to a variety of financial risks, including liquidity risk, credit risk, the effects of changes in debt and equity market prices, foreign currency exchange rates and interest rates. The Group's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on its financial performance.

Financial risk management is carried out by the finance department under guidance of the Board of Directors.

Market risk

(i) Interest rate risk

Group

Interest rate risks arise from fluctuations in the bank borrowing rates. The interest rates vary from time to time depending on the prevailing economic circumstances. The Group closely monitors the interest rate trends to minimize the potential adverse impact of interest rate changes.

The Group's interest rate risk arises from long-term borrowings. Borrowings issued at variable rates expose the Group to cash flow interest rate risk which is partially offset by cash held at variable rates. The Group regularly monitors financing options available to ensure optimum interest rates are obtained.

At 30 June 2021, an increase/decrease by 100 basis points in interest rates would have resulted in a decrease/increase in post-tax profit of Shs 7,978,772 (2020: 8,349,498).

Company

The risk is not relevant to the company as it has no borrowings.

(ii) Price risk

Price risk arises from fluctuations in the prices of equity investments. At 30 June 2021 and 30 June 2020, the Group and company did not hold investments that would be subject to price risk; hence this risk is not relevant.

(iii) Foreign exchange risk

Group

The Group is exposed to foreign exchange risk arising from various currency exposures, primarily, with respect to the US dollar and the Euro. Foreign exchange risk arises from future commercial transactions and recognised assets and liabilities.

Management's policy to manage foreign exchange risk is to hold foreign currency bank accounts which act as a natural hedge for purchases of imported raw materials and finished products

At 30 June 2021, if the Kenyan Shilling had weakened/strengthened by 5% against the USD with all other variables held constant, post-tax profit for the year and equity would have been Shs 32,440,114 (2020: Shs 109,054,062) higher/lower, mainly as a result of US dollar denominated trade payables and bank balances.

Company

The company has no foreign currency denominated financial instruments and thus is not exposed to foreign exchange risks.

Notes (continued)

4 Financial risk management objectives and policies (continued)

Credit risk

Credit risk arises from cash and cash equivalents and deposits with banks and financial institutions as well as credit exposures to customers, including outstanding receivables and committed transactions. Credit risk is the risk that a counterparty will default on its contractual obligations resulting in financial loss to the Group.

Credit risk is managed by the Group Finance Director who is responsible for managing and analysing credit risk for each new client before standard payment and delivery terms are offered.

In assessing whether the credit risk on a financial asset has increased significantly, the Group compares the risk of default occurring on the financial asset as at the reporting date with the risk of default occurring on that financial asset as at the date of initial recognition. In doing so, the Group considers reasonable and supportable information that is indicative of significant increases in credit risk since initial recognition and that is available without undue cost or effort. There is a rebuttable assumption that the credit risk on a financial asset has increased significantly since initial recognition when contractual payments are more than 30 days past due. For this purpose, default is defined as having occurred if the debtor is in breach of contractual obligations, or if information is available internally or externally that suggests that the debtor is unlikely to be able to meet its obligations.

The Group has adopted the Expected Credit Losses (ECL) model to determine the impairment of trade receivables. The Group opted to adopt the simplified approach of determining the impairment provision. This model includes some operational simplifications for trade and other receivables because they are often held by entities that do not have sophisticated credit risk management systems. These simplifications eliminate the need to calculate 12-month ECL and to assess when a significant increase in credit risk has occurred.

Using the simplified approach, management has segmented their accounts receivable balances into Government debt and other trade debtors.

For Trade debtors, management has used the simplified approach to determine probabilities of default (PD) using collection trends in the past adjusted for forward looking economic variables as applicable. The average PDs are then used to determine the provision. All debtors that are 120 days past due are considered to be at default. The exposure at default is adjusted for guarantees and other collateral held to determine the Loss Given Default (LGD).

Related party receivable balances are assessed for impairment based on the counterparty's ability to settle on demand. No impairment was noted from management's assessment.

Cash balances and long-term deposits have been assessed for credit loss based on the credit rating of the financial institutions holding the assets. The calculated impairment was considered immaterial to warrant any adjustment.

Notes (continued)

4 Financial risk management objectives and policies (continued)

Credit risk (continued)

The amount that best represents the Group and Company's maximum exposure to credit risk at 30 June 2021 is made up as follows:

Group

	2021 Shs'000	2020 Shs'000
Cash and bank balances	1,520,663	661,104
Trade receivables	1,317,179	978,169
Other receivables	127,233	872,232
Due from related parties (Note 31)	318,081	239,715
	<u>3,283,156</u>	<u>2,751,220</u>

The Group holds bank guarantees and cash deposits amounting to Shs 1.110 billion (2020: 2.314 billion) as collateral for trade receivables. No collateral is held for the other assets. All receivables that are either past due or impaired are within their approved credit limits, and no receivables have had their terms renegotiated.

	2021 Shs'000	2020 Shs'000
Neither past due nor impaired	1,143,882	817,814
Past due but not impaired	173,297	160,355
	<u>1,317,179</u>	<u>978,169</u>
Subtotal not impaired	1,317,179	978,169
	<u>259,368</u>	<u>385,002</u>
Impaired – fully provided for (Note 20)		

All receivables past due by more than 120 days are impaired and are carried at their estimated recoverable value. This is in addition to the qualitative analysis performed by management.

Company

	2021 Shs'000	2020 Shs'000
Other receivables	4,233	10,161
Cash and cash equivalents (Note 28)	2,990	2,962
Due from related parties (Note 31)	56,696	56,696
	<u>63,919</u>	<u>69,819</u>

Notes (continued)

4 Financial risk management objectives and policies (continued)

Concentration risk

The concentration risk relates to exposure on sales that the Group faces on dealing with its key customers. The analysis below shows that the Group's one customer (Kenchic Limited) accounted for 11% of the revenue of the Group (2020:12%). This customer has a high credit rating. All other sales are to a wide unrelated customer base.

	2021 Shs'000	%	2020 Shs'000	%
Kenchic Limited	1,918,877	11%	2,185,905	12%
Others	15,893,761	89%	15,384,062	88%
Total	17,812,638	100%	17,569,967	100%

Liquidity risk

Ultimate responsibility for liquidity risk management rests with the Board of Directors, which together with management, closely monitors the Group's short, medium and long-term funding and liquidity management requirements. The Group manages liquidity risk by maintaining adequate reserves, banking facilities and reserve borrowing facilities, by continuously monitoring forecast and actual cash flows and matching the maturity profiles of financial assets and liabilities.

The table below analyses the Group's financial liabilities that will be settled on a net basis into relevant maturity Groupings based on the remaining period at end of reporting period to the contractual maturity date. The amounts disclosed in the table below are the contractual undiscounted cash flows. Balances due within 12 months equal their carrying balances, as the impact of discounting is not significant.

Group	Below one year Shs'000	2-5 years Shs'000	Over 5 years Shs'000	Totals Shs'000
At 30 June 2021				
Liabilities:				
Trade payables (Note 21)	888,680	-	-	888,680
Other payables (Note 21)	857,310	-	-	857,310
Due to related parties (Note 31)	626,885	-	-	626,885
Borrowings	548,805	1,428,137	-	1,976,942
Lease liability	19,464	-	-	19,464
Total financial liabilities	2,941,144	1,428,137	-	4,369,281
At 30 June 2020				
Liabilities:				
Trade payables (Note 21)	864,676	-	-	864,676
Other payables (Note 21)	1,872,855	-	-	1,872,855
Due to related parties (Note 31)	2,009,555	-	-	2,009,555
Borrowings	584,638	1,492,041	-	2,076,679
Lease liabilities	27,637	11,221	-	38,858
Total financial liabilities	5,359,361	1,503,262	-	6,862,623

Notes (continued)

4 Financial risk management objectives and policies (continued)

Liquidity risk (continued)

The Group has undrawn committed borrowing facilities amounting to 746,119,230 and USD 2,350,066 (2020: Shs 687,702,481 and USD 700,000). The borrowing facilities consist of loans and bank overdrafts. Security for these borrowings includes an all assets debenture for Shs 2.3 billion issued by subsidiary companies, corporate guarantees by Group companies and legal charges over certain properties owned by subsidiary companies, and a property registered in the name of a Group company.

	Below one year	Over one year	Totals
Company			
At June 2021	Shs'000	Shs'000	Shs'000
Liabilities:			
Other payables (Note 21)	2,632	-	2,632
Due to related parties (Note 31)	222,359	-	222,359
	224,991	-	224,991
At June 2020			
Liabilities:			
Other payables (Note 21)	8,622	-	8,622
Due to related parties (Note 31)	186,510	-	186,510
	195,132	-	195,132

Capital management

The Group's objectives when managing capital are to safeguard the Group's ability to continue as a going concern in order to provide returns for shareholders and to maintain an optimal capital structure to reduce the cost of capital. In order to maintain or adjust the capital structure, the Group may adjust the amount of dividends paid to shareholders, issue new capital or sell assets to reduce debt.

Consistent with others in the industry, the Group monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings (including 'current and non-current borrowings') less cash and cash equivalents. Total capital is calculated as equity plus net debt.

The constitution of capital managed by the Group is as follows:

Notes (continued)

4 Financial risk management objectives and policies (continued)

Capital management (continued)

Net cash reconciliation and gearing ratio	2021 Shs'000	2020 Shs'000
Equity	6,386,398	6,091,153
Borrowings (Note 17)	797,881	829,701
Less: cash and cash equivalents (Note 29)	(1,521,050)	(661,486)
Net cash	(723,169)	168,215
Gearing ratio	0%	2.76%

Fair value estimation

The different level of fair value measurement hierarchy is described as follows:

- Quoted prices (unadjusted) in active markets for identical assets (level 1);
- Inputs other than quoted prices included within level 1 that are observable for the asset, either directly (that is, as prices) or indirectly (that is, derived from prices) (level 2); and
- Inputs for the asset that are not based on observable market data (that is, unobservable data) (level 3).

The fair value of financial instruments traded in active markets is based on quoted market prices at the year-end date. A market is regarded as active if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group and those prices represent actual and regularly occurring market transactions on an arm's length basis. The quoted market price used for financial assets held by the Group is the current bid price. These instruments are included in level 1.

The fair value of financial instruments that are not traded in an active market is determined by using valuation techniques such as discounted cash flow analysis. These valuation techniques maximize the use of observable market data where it is available and rely as little as possible on entity specific estimates. If all significant inputs required to fair value an instrument are observable, the instrument is included in level 2.

If one or more of the significant inputs is not based on observable market data, the instrument is included in level 3.

The carrying amounts of all assets and liabilities at the year-end date approximate their fair values.

Notes (continued)

5 Revenue from contracts with customers

	Group		Company	
	2021	2020	2021	2020
	Shs'000	Shs'000	Shs'000	Shs'000
Sales recognised at a point in time by category:				
Human nutrition	6,993,085	8,909,799	-	-
Animal nutrition	11,530,653	9,135,534	-	-
Animal health products	183,578	215,211	-	-
Reclassified to discontinuing operations (Note 32)	(894,678)	(690,577)	-	-
	<u>17,812,638</u>	<u>17,569,967</u>	<u>-</u>	<u>-</u>

The above revenue is recognised at a point in time.

6 Earnings per share

Basic earnings per share has been calculated by dividing the net profit attributable to shareholders by the weighted average number of ordinary shares in issue during the year.

	2021	2020
Profit for the year attributable to shareholders (Shs '000'):	180,931	34,146
Weighted average number of ordinary shares ('000')	75,707	75,707
	<u>2.39</u>	<u>0.45</u>

Diluted earnings per share is the same as basic earnings per share.

7 Dividends

In respect of the current financial year, the directors do not propose the payment of dividend (2020: Nil). Payment of dividend is subject to withholding tax at a rate of 10% for non-resident shareholders and 5% for resident shareholders. For resident shareholders, withholding tax is only deductible where the shareholding is below 12.5%.

8 Other income

	Group	
	2021	2020
	Shs'000	Shs'000
Sale of packing material	5,594	4,251
Gain on disposal of property, plant and equipment	2,733	722
Amortisation of capital grants (Note 26)	3,324	3,324
Sundry income	13,087	23,503
	<u>24,738</u>	<u>31,800</u>

Notes (continued)

9 Segmental reporting

The principal activity of the Group continues to be the milling of wheat and maize, baking and animal nutrition products, and the distribution of animal health products. Management has chosen to organise the entity around differences in market segments served by their products into two main segments namely human nutrition and animal nutrition and health. Management considers the fact that reports regularly reviewed by the chief operating decision maker in order to allocate resources and to assess performance are based on these two operating segments. Leadership team which comprises of the managing director, finance director, general managers and functional heads is considered to be the key decision-making organ.

Description of the types of products and services from which each reportable segment derives its revenues

Unga Group Plc has two reportable segments: human nutrition and animal nutrition and health. The human nutrition segment produces products for human consumption. The animal nutrition and health segment produce animal feed and mineral supplement products and distributes products for animal health.

Measurement of operating segment profit or loss, assets and liabilities

The accounting policies of the operating segments are the same as those described in the summary of significant accounting policies.

Factors that management uses to identify the entity's reportable segments

Unga Group Plc segments are strategic business units that serve different market segments. They are managed separately because each business requires different technology and marketing strategies.

Information about major customers

One customer with revenues of Shs 1,918,877,000 (2020: Shs 2,185,905,000) under the animal health and nutrition segment accounts for more than 10% of the Group revenue.

Notes (continued)

9 Segmental reporting (continued)

Year ended 30 June 2021

	Human Nutrition Shs'000	Animal Nutrition & Health Shs'000	Others Shs'000	Elimination Shs'000	Discontinuing Operations Shs'000	Consolidation Shs'000
Revenue from external customers	7,771,217	11,714,231	-	(778,132)	(894,678)	17,812,638
Interest income	5,344	6,221	9,249	-	(1,217)	19,597
Other income	10,786	12,577	4,385	-	(3,010)	24,738
Interest expense	94,267	59,960	(1,986)	-	(1,674)	150,567
Depreciation and amortisation	203,331	83,368	826	-	(64,286)	223,239
Reportable segmental profit	53,278	491,503	(28,416)	-	(31,133)	485,232
Income tax expense	(53,912)	(165,991)	(2,527)	-	44,164	(178,266)
Other material non-cash items:						
Reportable segment assets	5,850,281	4,272,467	2,139,211	(2,497,766)	284,586	10,048,779
Capital expenditures for non-current assets	63,283	84,779	-	-	-	148,062
Reportable segmental liabilities	3,513,927	2,083,782	497,571	(2,497,766)	61,350	3,658,864

Notes (continued)

9 Segmental reporting (continued)

Year ended 30 June 2020

	Human Nutrition Shs'000	Animal Nutrition & Health Shs'000	Others Shs'000	Elimination Shs'000	Discontinuing Operations Shs'000	Consolidation Shs'000
Revenue from external customers	9,864,389	9,350,745	-	(954,590)	(690,577)	17,569,967
Interest income	4,081	3,802	10,654	-	-	18,537
Other income	14,420	15,924	1,875	-	(419)	31,800
Interest expense	142,185	60,604	213	-	(2,774)	200,228
Depreciation and amortisation	167,590	75,174	32,053	-	-	274,817
Reportable segmental profit	(49,706)	195,258	(26,580)	-	(882)	118,090
Income tax expense	10,063	(60,057)	(754)	-	25,345	(25,403)
Other material non-cash items:						
Reportable segment assets	6,682,440	5,578,804	1,893,213	(2,103,581)	-	12,050,876
Capital expenditures for non-current assets	201,383	278,878	-	-	-	480,261
Reportable segmental liabilities	4,280,524	3,556,025	473,060	(2,349,886)	-	5,959,723

Notes (continued)

10 Finance costs

	Group		Company	
	Shs'000	Shs'000	Shs'000	Shs'000
Finance income:				
Interest income on deposits	20,814	19,248	56	155
Reclassified to discontinuing operations (Note 32)	(1,217)	(711)	-	-
	19,597	18,537	56	155
Finance costs:				
Interest expense on bank loans	82,750	113,499	-	-
Interest expense on bank overdrafts	-	13,413	-	-
Interest expense on trade finance	31,952	52,776	-	-
Finance charge on leases	4,036	4,722	-	-
Net foreign exchange losses	33,503	18,592	-	-
Reclassified to discontinuing operations (Note 32)	(1,674)	(2,774)	-	-
	150,567	200,228	-	-

11 Breakdown of expenses by nature

The profit before taxation is arrived at after charging:

Staff costs (Note 12)	859,941	1,207,257	-	-
Depreciation of property, plant and equipment (Note 22)	287,525	274,817	-	-
Depreciation of right-of-use assets (Note 23)	37,916	28,057	-	-
Amortisation of intangible assets (Note 24)	10,089	5,552	-	-
Directors remuneration (Note 31)	23,190	60,816	23,190	17,484
Auditor's fees	14,503	14,503	84	84
Provision for expected credit losses (Note 20)	(242,714)	52,260	-	-

12 Staff costs

	Group	
	2021	2020
	Shs'000	Shs'000
Salaries and wages	671,007	994,625
Redundancy costs	67,680	-
Retirement benefits obligation (Note 27)	59,033	68,236
Social security costs (NSSF) contributions	1,007	1,175
Other staff cost	49,455	142,261
Service gratuity (Note 27)	11,759	960

859,941 1,207,257

The average number of employees of the Group during the year was as follows:

	2021	2020
Production	134	207
Sales and distribution	126	104
Management and administration	140	163
	400	474

Notes (continued)

13 Income tax expense

The income tax expense has been calculated using income tax rate of 25 & 30% as at 30 June 2021 (2020: 25%). The applicable rate changed from 30% to 25% during the year following the enactment of the Tax Laws (Amendment) Act, 2021 on 25 April 2020 in Kenya.

	2021 Shs'000	2020 Shs'000
Current income tax	142,637	32,385
Overprovision for current income tax in prior year	(6,506)	-
Deferred income tax (Note 18)	86,300	18,363
Income tax expense	222,431	50,748

The tax on the Group's profit before income tax differs from the theoretical amount that would arise using the statutory income tax rate as follows:

	2021 Shs'000	2020 Shs'000
Profit/ (loss) before income tax from:		
Continuing operations	485,232	118,090
Discontinuing operations	30,676	(1,181)
Profit before income tax	515,908	116,909
Tax calculated at the statutory income tax rate of 25% & 30% (2020–25% & 30%)	141,875	29,227
Tax effects of:		
Expenses not deductible for tax purposes	29,399	23,319
Income not subject to tax	(15,611)	(2,058)
Under-provision of current income tax in prior years	(6,506)	-
(Under)/ over provision of deferred income tax in prior years	23,949	1,889
Deferred income tax asset not recognised (Note 18)	36,068	7,327
Effect of change in tax rate	13,257	(8,956)
Income tax expense	222,431	50,748

Income tax expense is attributable to:

Profit from continuing operations	178,266	25,403
Loss from discontinued operation	44,164	25,345
	222,430	50,748

Notes (continued)

14 Share capital

	Number of Shares (Thousands)	Ordinary Shares Shs'000	Share premium Shs'000
Authorised:			
Balance at 1 July 2019, 30 June 2020 and 30 June 2021	82,760	413,800	73,148
Issued and fully paid:			
Balance at 1 July 2019, 30 June 2020 and 30 June 2021	75,707	378,535	73,148

The total authorised number of ordinary shares is 82,760,000 with a par value of Shs 5 per share. The total number of ordinary shares issued 75,706,986 with a par value of Shs 5 per share. All issued shares are fully paid. They entitle the holder to participate in dividends, and to share in the proceeds of winding up the company in proportion to the number of and amounts paid on the shares held. On a show of hands every holder of ordinary shares present at a meeting, in person or by proxy, is entitled to one vote, and on a poll each share is entitled to one vote.

15 Other reserves

Other reserves comprise the following:

	Currency translation differences Shs'000	Re-measurement of retirement benefit asset Shs'000	Total Shs'000
Year ended 30 June 2021			
At start of year	(30,457)	(10,841)	(41,298)
Credit to other comprehensive income	(7,993)	16,122	8,129
At end of year	(38,450)	5,281	(33,169)
Year ended 30 June 2020			
At start of year	(35,127)	(11,004)	(46,131)
Credit to other comprehensive income	4,670	163	4,833
At end of year	(30,457)	(10,841)	(41,298)

Other reserves as included above are non-distributable.

16 Non-controlling interests

Group	2021 Shs'000	2020 Shs'000
At start of year	2,050,498	2,015,881
Share of profit for the year	114,302	32,015
Share of other comprehensive income	(2,845)	2,602
At end of year	2,161,955	2,050,498
Summary of Non-controlling interest:		
Unga Holdings Limited:		
35% Equity interest held by Seaboard Corporation in Unga Holdings Limited	2,161,955	2,050,498

Notes (continued)

16 Non-controlling interests (continued)

Summarised financial information on subsidiaries with material non-controlling Interests

Unga Holdings Limited which has a 35% non-controlling interest operates as a holding company. A summary of its financial performance is set out below:

Unga Holdings Limited summarised statement of financial position	2021 Shs'000	2020 Shs'000
Current assets	6,209,800	8,030,984
Current liabilities	(2,711,007)	(5,040,641)
Liabilities associated with assets held for sale	(61,350)	-
Total current net assets	3,437,443	2,990,343
Non-current assets	3,713,670	4,134,179
Assets Held for sale	284,586	-
Non-current liabilities	(917,809)	(941,340)
Total non-current net assets	3,080,447	3,192,839
Total net assets	6,517,890	6,183,182

Unga Holdings Limited summarised statement of comprehensive income

Revenue	17,812,638	17,569,967
Profit before income tax	517,210	143,401
Income tax expense	(177,144)	(25,403)
Profit from continuing operations	340,066	117,998
Loss from discontinuing operations	(13,488)	(26,526)
Other comprehensive income	8,129	7,816
Total comprehensive income	334,707	99,288

Unga Holdings Limited summarised cash flows

Net cash generated from operating activities	1,044,237	601,764
Net cash used in investing activities	(133,507)	(476,209)
Net cash used in financing activities	(59,110)	(259,623)
Net decrease in cash and cash equivalent	851,620	(134,068)
Cash and cash equivalent at start of year	607,449	750,773
Net increase/(decrease) in cash and cash equivalent	851,620	(134,068)
Effect of exchange rates	4,437	(9,256)
At end of year	1,463,506	607,449

Notes (continued)

17 Borrowings

	2021 Shs'000	2020 Shs'000
Group		
Bank loans	797,880	829,701
The borrowings are classified as follows:		
Current		
Bank borrowings repayable within 1 year	239,718	236,898
Non- current		
Bank borrowings repayable between 2-5 years	558,162	592,803
	797,880	829,701
Movement in borrowings:		
At start of year	829,701	1,062,865
Received during the year	-	-
Repaid during the year	(31,821)	(233,164)
	797,880	829,701
At end of year	797,880	829,701

Bank loans comprise the following facilities to the subsidiary Companies;

Unga Limited

Bank loan is comprised of a 6-year term loan of Shs 860,000,000 taken in 2018 to finance the purchase and construction of a new wheat milling plant in Eldoret. Interest charged is Central Bank Rate (CBR) plus 3% Margin. The loan is repayable in equal instalments after the end of the moratorium of 12 months. The entire loan had been drawn down as at 30 June 2020. The effective interest rate on the facility at 30 June 2021 was 10% (2020: 13.5%)

The borrowings are secured by an all assets debenture for Shs 1.885 billion, corporate guarantees by Unga Group Plc of Shs 1.885 billion and legal charges of Shs 1.885 billion over certain properties.

Unga Farm Care (EA) Limited

A 3-year term loan of Shs 294,000,000 taken in 2019 to finance the purchase and construction of a new soya bean milling plant. Interest charged is CBR plus 3.1% Margin. The loan is repayable in equal installments. A total of Shs 278,022,763 of the loan amount had been drawn down as at 30 June 2019. The effective interest rate on the facility at 30 June 2021 was 10.1% (2020:12%).

The borrowing is secured by a specific asset debenture for Shs 294 million on the soya bean mill.

The lenders had approved loan moratoriums of 9 months and 12 months effective 1 July 2020 and 1 October 2020 for Unga Limited and Unga Farm Care (EA) Limited. This amounted to cashflow savings of Shs 107,500,000 and Shs 111,304,560 respectively.

Notes (continued)

18 Deferred income tax

Deferred income tax is made up of the following.

	Group	
	2021 Shs'000	2020 Shs'000
Deferred income tax assets	4,716	3,962
Deferred income tax liabilities	(363,062)	(269,099)
Net deferred income tax liabilities	(358,346)	(265,137)

Deferred income tax is calculated using the enacted income tax rate of 30% (2020: 30%). The movement in the net deferred income tax liabilities is as follows:

	2021 Shs'000	2020 Shs'000
At start of year	(265,137)	(244,379)
(Charge)/ credit to profit or loss	(86,300)	(18,363)
Credit to other comprehensive income	(6,909)	(2,395)
At end of year	(358,346)	(265,137)

Group

Year ended 30 June 2021	01.07.2020	Charged/ (credited) to P/L	Credit to OCI	30.06.2021
	Shs'000	Shs'000	Shs'000	Shs'000
Deferred income tax liabilities				
Property plant and equipment	725,177	104,634	-	829,811
Retirement benefits obligation	5,930	-	6,909	12,839
	731,107	104,634	6,909	842,650
Deferred income tax assets				
Unrealized exchange losses	(7,933)	6,220	-	(1,713)
Other deductible differences	(132,647)	46,223	-	(86,424)
Tax losses carried forward	(465,648)	(106,844)	-	(572,492)
	(606,228)	(54,401)	-	(660,629)
Deferred income tax asset not recognised	140,258	36,068	-	176,326
Net deferred income tax	265,137	86,300	6,909	358,346

Notes (continued)

18 Deferred income tax (continued)

Year ended 30 June 2020	01.07.2019	Charged/ (credited) to P/L	(Charge) to OCI	30.06.2020
	Shs'000	Shs'000	Shs'000	Shs'000
Deferred income tax liabilities				
Property plant and equipment	838,374	(113,197)	-	725,177
Retirement benefits obligation	3,535	-	2,395	5,930
	841,909	(113,197)	2,395	731,107
Deferred income tax assets				
Unrealized exchange losses	(7,758)	(175)	-	(7,933)
Other deductible differences	(156,778)	24,131	-	(132,647)
Tax losses carried forward	(580,579)	114,931	-	(465,648)
	(745,115)	138,887	-	(606,228)
Deferred income tax asset not recognised	147,585	(7,327)	-	140,258
Net deferred income tax	244,379	18,363	2,395	265,137

The Group has not recognised the deferred income tax asset arising from tax losses carried forward in a subsidiary entity because it is uncertain as to when the Group will generate sufficient future profits to utilise the losses. Deferred income tax asset include deferred income tax arising from tax losses realised in some operating subsidiaries with part attribution to capital allowances granted in the past. The group has concluded that the deferred assets will be recoverable using the estimated future taxable income based on the approved business plans and budgets for the subsidiaries.

19 Inventories

	Group	
	2021	2020
	Shs'000	Shs'000
Raw materials	1,761,439	4,114,204
Finished products	521,362	407,119
Packing materials	71,754	82,900
Engineering spares	118,729	11,530
Reclassified to held for sale (Note 32)	(11,560)	-
	2,461,724	4,615,753

Inventories expensed in cost of sales amounted to Shs 17.42 billion (2020: Shs 16.82 billion)

Notes (continued)

20 Trade and other receivables

	Group		Company	
	2021	2020	2021	2020
	Shs'000	Shs'000	Shs'000	Shs'000
Trade receivables	1,576,547	1,363,171	-	-
Less: Provision for expected credit losses	(259,368)	(385,002)	-	-
	<u>1,317,179</u>	<u>978,169</u>	<u>-</u>	<u>-</u>
VAT recoverable	284,888	449,902	-	-
Other receivables and prepayments	127,233	872,232	4,233	10,161
Due from related parties (Note 31)	318,081	239,715	56,696	56,696
	<u>2,047,381</u>	<u>2,540,018</u>	<u>60,929</u>	<u>66,857</u>

The movements in the provision for expected credit losses on trade and other receivables was as follows:

	Group		Company	
	2021	2020	2021	2020
	Shs'000	Shs'000	Shs'000	Shs'000
At start of year	502,082	449,822	-	-
Charge to profit or loss in the year	(242,714)	52,260	-	-
	<u>259,368</u>	<u>502,082</u>	<u>-</u>	<u>-</u>
At end of year	259,368	502,082	-	-

Expected credit losses are made up as follows:

Trade receivables	259,368	385,002	-	-
Other receivables	-	117,080	-	-
	<u>259,368</u>	<u>502,082</u>	<u>-</u>	<u>-</u>

21 Trade and other payables

Trade payables	888,680	864,676	-	-
Other payables and accrued expenses	857,310	1,872,855	2,632	8,622
Due to related parties (Note 31)	626,885	2,009,555	222,359	186,510
	<u>2,372,875</u>	<u>4,747,086</u>	<u>224,991</u>	<u>195,132</u>

Notes (continued)

22 Property, plant and equipment

	Buildings Shs'000	Plant and equipment Shs'000	Motor vehicles Shs'000	Work in progress Shs'000	Total Shs'000
Year ended 30 June 2021					
At start of the year	1,001,872	2,676,413	33,415	252,051	3,963,751
Additions	4,416	48,475	-	88,639	141,530
Disposals	-	(7,987)	(3)	-	(7,990)
Depreciation charge	(27,267)	(239,515)	(20,743)	-	(287,525)
Reclassified to held for sale (Note 32)	(5,745)	(266,297)	(984)	-	(273,026)
Currency translation differences	77,620	(90,049)	-	-	(12,429)
Closing net carrying amount	1,050,896	2,121,040	11,685	340,690	3,524,311
At 30 June 2021					
Cost	1,118,454	3,342,737	190,368	340,690	4,992,249
Accumulated depreciation	(145,178)	(1,131,486)	(178,683)	-	(1,455,347)
Currency translation differences	77,620	(90,211)	-	-	(12,591)
Net carrying amount	1,050,896	2,121,040	11,685	340,690	3,524,311
Year ended 30 June 2020					
At start of the year	865,898	2,823,247	56,116	22,124	3,767,385
Additions	152,189	87,349	3,853	229,927	473,318
Disposals	-	(3,330)	-	-	(3,330)
Depreciation charge	(16,617)	(231,646)	(26,554)	-	(274,817)
Currency translation differences	402	793	-	-	1,195
Closing net carrying amount	1,001,872	2,676,413	33,415	252,051	3,963,751
At 30 June 2020					
Cost	1,130,734	3,793,623	217,752	252,051	5,394,160
Accumulated depreciation	(128,862)	(1,117,048)	(184,337)	-	(1,430,247)
Currency translation differences	-	(162)	-	-	(162)
Net carrying amount	1,001,872	2,676,413	33,415	252,051	3,963,751

The Group has pledged assets with net book value of 18,403,000 (2020: Shs 18,886,000) to secure bank borrowings (see Note 17).

Notes (continued)

22 Property and equipment (Continued)

Impairment assessment

Decline in business performance occasioned by a challenging operating environment gave rise indicators of potential impairment of certain assets. As required by the International Financial Reporting Standards, management prepared a projected cash flows model to assess assets for impairment.

The following table describes the key assumptions used by management in the value in use calculations that were prepared to test the assets with a net book value of Shs 1,405,976,000 for impairment:

Assumption	Approach used to determine values:
Discount rate	Based on specific risks relating to the industry and country for KES denominated cash flows. Factors considered for the industry include regulatory environment, market competition, and barriers to entry.
Volume growth	This is based on management's market sizing and market share projection.
Gross margin	Based on past experience and management expectations of the future.

Based on the above described assumptions, the recoverable amount for the assets exceeded the carrying amount at 30 June 2021 by Shs. 176 million.

Notes (continued)

23 Leases

(i) Right-of-use assets

	Leasehold land Shs'000	Warehouse Shs'000	Motor vehicles Shs'000	Total Shs'000
Year ended 30 June 2021				
Cost				
At start of year	151,230	77,406	54,670	283,306
Additions	2,700	5,155	14,629	22,484
	<u>153,930</u>	<u>82,561</u>	<u>69,299</u>	<u>305,790</u>
Amortisation				
At start of year	42,216	40,321	54,670	137,207
Charge for the year	9,324	7,324	8,256	24,904
Accelerated depreciation	-	10,283	2,729	13,012
	<u>51,540</u>	<u>57,928</u>	<u>65,655</u>	<u>175,123</u>
At end of year				
Carrying amount at end of year	102,390	24,633	3,644	130,667
Year ended 30 June 2020				
Cost				
At start of year	151,230	77,406	54,670	283,306
Additions	-	-	-	-
	<u>151,230</u>	<u>77,406</u>	<u>54,670</u>	<u>283,306</u>
Amortisation				
At start of year	38,046	37,011	33,643	108,700
Charge for the year	4,170	3,310	21,027	28,507
	<u>42,216</u>	<u>40,321</u>	<u>54,670</u>	<u>137,207</u>
At end of year				
Carrying amount at end of year	109,014	37,085	-	146,099

The operating lease prepayment relates to leasehold land. Transfer from WIP relates to reclassification of ROU asset erroneously included in property plant and equipment. The leasehold land was revalued as at 28 February 2018 by Tysons Limited on an open market value basis for existing use at Shs 2.65 billion.

The Group has pledged leasehold land with a net book value of Shs 18,403,000 (2020: Shs 18,886,000) to secure borrowings granted to it (see Note 17).

Notes (continued)

23 Leases (continued)

(ii) Lease liabilities

	2021 Shs '000'	2020 Shs '000'
Current	19,464	27,637
Non-current	-	11,221
	19,464	38,858

(iii) Lease liability movement

Start of the year	38,858	68,763
Adoption of IFRS 16	19,784	-
Finance charge	4,036	4,722
Repayments in the year	(27,289)	(34,627)
Early lease termination	(10,283)	-
Gain on lease termination	(5,642)	-
	19,464	38,858

24 Intangible assets

Computer software Group Cost

At start of year	395,351	388,408
Additions	-	6,943
	395,351	395,351

Amortisation

At start of year	371,236	365,684
Amortisation for the year	10,089	5,552
	381,325	371,236

At end of year	381,325	371,236
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Net book value	14,026	24,115
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Notes (continued)

25 Investment in subsidiaries – Company

Unquoted investment at cost in wholly owned subsidiary	2021 Shs'000	2020 Shs'000
Unga Investments Limited	1,297,335	1,297,335

Details of the Company's subsidiaries are as follows:

Company name	Principal place of business	Principal activity	% Interest held	Share capital Shs'000
Unga Investments Limited	Kenya	Operates as a holding and an investment company.	100	22,200

Unga Investments Limited has a 65% holding in its subsidiary, Unga Holdings Limited which operates as a holding company in Kenya and has the following subsidiaries:

Company name	Principal place of business	Principal activity	% Interest held	Share capital Shs'000
Unga Limited	Kenya	Milling of wheat and maize	100%	220,000
Unga Farm Care (EA) Limited	Kenya	Manufacture of animal nutrition products and distribution of animal health products	100%	22,520
Unga Feeds Limited	Kenya	Dormant company	100%	42,300
Unga Foods Limited	Kenya	Dormant company	100%	15,400
Unga Millers (U) Limited	Uganda	Milling of wheat and maize, and distribution of animal nutrition products	100%	7,280
Ennsvalley Bakery Limited	Kenya	Manufacture and sale of cakes, roles, breads and pastries	100%	250

26 Capital grants

Capital grants relate to amounts received from the Dutch government as a partial funding for the construction of a new fish milling plant at the Dakar road premises. The grant is being amortised over the plants' useful life. The movement in the year is as follows;

	2021 Shs'000	2020 Shs'000
At start of year	64,674	59,830
Grant received in the year	-	8,168
Amortisation to profit or loss	(3,324)	(3,324)
Transfer to held for sale (Note 32)	(61,350)	-
At end of year	-	64,674

Notes (continued)

27 Post-employment benefits obligation

The group had the following post-employment benefits obligations as at year end;

	2021	2020
Assets		
Retirement benefits scheme	43,698	-
Liabilities		
Service gratuity scheme	14,010	3,543
<u>Service gratuity scheme</u>		

The Group operates an unfunded post-employment benefit plan which provides service gratuity to its unionised employees based on final salary and years of service. The movement in the obligation based on past service cost is as follows;

	2021 Shs'000	2020 Shs'000
At start of year	3,543	9,469
Charge/ (credit) to profit or loss	11,759	960
Payments in the year	(1,292)	(6,886)
At end of year	14,010	3,543

Retirement benefits scheme

The Group operates a contributory defined benefits pension plan for employees of Unga Limited and Unga Farm Care (EA) Limited. The retirements benefits scheme asset represents the actuarial allocation of the surplus of the fair value of the scheme assets over the value of past service pension obligations after applying an asset ceiling to the Group. An asset ceiling has been applied only to recognise the benefit arising from reduced employer contributions available to the Group as a result of the scheme being in an actuarial surplus position.

The amount included in the statement of financial position arising from the Group's obligation in respect of this defined benefits pension scheme is arrived at as follows:

	2021 Shs'000	2020 Shs'000
Present value of funded obligations	926,634	871,309
Fair value of plan assets	(1,014,029)	(915,472)
Surplus on funded plan	(87,395)	(44,163)
Impact of asset ceiling	43,697	44,163
Retirement benefit scheme as recognised in the statement of financial position	(43,698)	-

Notes (continued)

27 Post-employment benefits obligation (continued)

Retirement benefits scheme (continued)

The movement in the retirement benefit scheme asset over the year was as follows:

	Present value of Obligation Shs'000	Fair value of plan assets Shs'000	Total Shs'000	Impact of asset ceiling Shs'000	Total Shs'000
Year ended 30 June 2021					
At start of year	871,309	(915,472)	(44,163)	44,163	-
Current service cost	73,728	-	73,728	-	73,728
Interest expense/ (income)	94,933	(109,628)	(14,695)	-	(14,695)
Charge to profit or loss	168,661	(109,628)	59,033	-	59,033
Re measurements:					
Return on plan assets	-	(54,038)	(54,038)	-	(54,038)
Change in experience	31,473	-	31,473	-	31,473
Change in asset ceiling	-	-	-	(466)	(466)
Charge to other comprehensive income	31,473	(54,038)	(22,565)	(466)	(23,031)
Contributions:					
- Employees	-	(42,665)	(42,665)	-	(42,665)
- Employer	-	(37,035)	(37,035)	-	(37,035)
- Payments from plan	(144,809)	144,809	-	-	-
	(144,809)	65,109	(79,700)	-	(79,700)
At end of year	926,634	(1,014,029)	(87,395)	43,697	(43,698)

Notes (continued)

27 Post-employment benefits obligation (continued)

Retirement benefits scheme (continued)

Year ended 30 June 2020	Present value of Obligation Shs'000	Fair value of plan assets Shs'000	Total Shs'000	Impact of asset ceiling Shs'000	Total Shs'000
At start of year	836,502	(814,311)	22,191	-	22,191
Current service cost	83,638	-	83,638	-	83,638
Interest expense/ (income)	84,259	(99,661)	(15,402)	-	(15,402)
Charge to profit or loss	167,897	(99,661)	68,236	-	68,236
Re measurements:					
Return on plan assets	-	39,088	39,088	-	39,088
Change in experience	(30,170)	-	(30,170)	-	(30,170)
Change in assumptions	(62,660)	-	(62,660)	-	(62,660)
Change in asset ceiling	-	-	-	44,163	44,163
Charge to other comprehensive income	(92,830)	39,088	(53,742)	44,163	(9,579)
Contributions:					
- Employees	-	(53,149)	(53,149)	-	(53,149)
- Employer	-	(27,699)	(27,699)	-	(27,699)
- Payments from plan	(40,260)	40,260	-	-	-
	(40,260)	(40,588)	(80,848)	-	(80,848)
At end of year	871,309	(915,472)	(44,163)	44,163	-

The sensitivity of the defined benefit obligation to changes in the weighted principal assumptions is as follows:

Discount rate	At current discount rate Shs 'million	1% Increase Shs 'million	1% Decrease Shs 'million
At 30 June 2021			
Present value of obligation	926.6	917.3	935.8
At 30 June 2020			
Present value of obligation	871.3	856.7	889.8

Notes (continued)

27 Post-employment benefits obligation (continued)

Retirement benefits scheme (continued)

The significant actuarial assumptions were as follows;

	2021	2020
Discount rate	12.4%	12.4%
Rate of salary escalation	10.4%	10.4%
Rate of pension increases	0%	0%

Since the bulk of the benefits payable under the scheme are salary related and there are no pensions paid from the scheme, the sensitivity of the liability to a change in the salary escalation assumption is expected to be consistent with the sensitivity to the discount rates.

The plan assets are comprised of the following;

	2021 Shs'000	2021 %	2020 Shs'000	2020 %
Quoted equities	299,697	30	239,063	26
Offshore investments	41,509	4	34,001	4
Government bonds	655,475	65	638,551	70
Commercial paper and corporate bonds	5,000	0.5	4,145	0.5
Fixed and time deposits	26,334	3	10,007	1
Net current assets/ (liabilities)	(13,986)	(1)	(10,295)	(1)
Total	1,014,029	100	915,472	100%

Through its defined benefit pension plans and, the Group is exposed to a number of risks, the most significant of which are detailed below:

Asset volatility

The plan liabilities are calculated using a discount rate set with reference to treasury bonds yields; if plan assets underperform this yield, this will create a deficit. The plan assets currently exceed the liabilities and this risk is therefore not considered significant.

Changes in bond yields

A decrease in treasury bond yields will increase plan liabilities, although this will be partially offset by an increase in the value of the plans' bond holdings.

Notes (continued)

28 Cash generated from operations

Reconciliation of profit before income tax to cash generated from operations:

Group	Group		Company	
	2021 Shs'000	2020 Shs'000	2021 Shs'000	2020 Shs'000
Profit/ (loss) before income tax from:				
Continuing operations	485,232	118,090	(35,759)	(30,673)
Discontinuing operations	30,676	(1,181)	-	-
	515,908	116,909	(35,759)	(30,673)
Profit/ (loss) before income tax				
Adjustments for:				
Depreciation (Note 22)	287,525	274,817	-	-
Amortisation of leases (Notes 23)	27,633	28,507	-	-
Interest paid	114,702	179,688	-	-
Finance charge on leases	4,036	4,722	-	-
Amortisation of intangible assets (Note 24)	10,089	5,552	-	-
Amortisation of capital grant (Note 26)	(3,324)	(3,324)	-	-
Gain on disposal of property, plant and equipment	(2,733)	722	-	-
Post-employment benefits obligation	(10,200)	12,612	-	-
Gain on lease termination	(5,642)	-	-	-
Changes in working capital:				
-inventories	2,142,469	(1,863,672)	-	-
-trade and other receivables	507,053	477,075	5,928	56,847
-trade and other payables	(2,374,211)	1,635,073	29,859	11,885
	1,213,305	868,681	28	38,059
Cash generated from operations				

29 Cash and bank balances

For the purposes of the statement of cash flows, cash equivalents include short term liquid investments which are readily convertible into known amounts of cash and which were within three months of maturity when acquired, less advances from the bank repayable within three months from the date of advance.

Cash and bank balances	Group		Company	
	2021 Shs'000	2020 Shs'000	2021 Shs'000	2020 Shs'000
Bank balances	1,520,663	607,067	2,990	2,962
Call deposits	-	54,037	-	-
Cash balances	387	382	-	-
	1,521,050	661,486	2,990	2,962
Cash and cash equivalents				
Net debt reconciliation				
Cash and cash equivalent	1,521,050 -	661,486	-	-
Borrowings	(797,881)	(829,701)	-	-
Lease liability	(19,464)	(38,858)	-	-
	703,705	(207,073)	-	-
Net debt				

Notes (continued)

30 Capital commitments

	Group	
	2021	2020
	Shs'000	Shs'000
Authorised but not contracted for	1,011,521	515,596

The bulk of the commitments were related to the funds committed to facilitate the ongoing sale of the fish feeds business to the joint venture with Nutreco International B.V and proposed projects under the Nairobi Mill. The projects underway are: Purchase of instant porridge extruder, Purchase of one 1Mva transformers, Upgrade in the famila electrical panel, Replacement the old wheat power factor correction panel and construction of silo trench drains. It also includes silo and warehouse refurbishments at Nairobi Feeds site which have been ongoing since 2020.

31 Related party transactions

The Company is listed on the Nairobi Securities Exchange and the shares are widely held.

During the year the following transactions were entered into with related parties:

i) Sale of goods and services

	Group		Company	
	2021	2020	2021	2020
	Shs'000	Shs'000	Shs'000	Shs'000
Sale of finished goods – Kenchic Limited	1,918,872	2,185,905	-	-

ii) Purchase of goods and services from affiliate and related parties

	Group	
	2021	2020
	Shs'000	Shs'000
Raw material purchases – Seaboard Overseas Limited	3,680,098	3,000,665
Other expenses – Seaboard Overseas Management Company	-	53,499
Purchase of equipment and spares – Seaboard Overseas Group	9,236	36,363
Interest charged on trade finance – Seaboard Overseas Limited	31,952	52,776
	3,721,286	3,143,303

Seaboard is affiliated by virtue of being part of the non-controlling interest as set out in Note 16. Seaboard Corporation is a company with significant shareholding in the parent company. Seaboard Overseas Limited, Seaboard Overseas Group and Seaboard Overseas Management Company are subsidiaries of Seaboard Corporation.

The group is also related to some of its customers by virtue of common shareholding. These are Kenchic Limited and NAS Holdings Limited and its affiliates.

Notes (continued)

31 Related party transactions

iii) Key management compensation	Group		Company	
	2021 Shs'000	2020 Shs'000	2021 Shs'000	2020 Shs'000
Salaries and other short-term employment benefits	142,947	166,528	-	-
iv) Directors' remuneration				
Fees for services as director	23,190	17,484	23,190	17,484
Other emoluments	35,937	43,332	-	-
	59,127	60,816	23,190	17,484
v) Due from related companies				
Unga Feeds Limited	-	-	7,000	7,000
Unga Holdings Limited	-	-	49,696	49,696
Kenchic Limited	318,081	239,715	-	-
	318,081	239,715	56,696	56,696
vi) Due to related companies				
Unga Limited	-	-	125,519	124,807
Unga Farm Care (E.A) Limited	-	-	-	61,703
Seaboard Corporation subsidiaries	626,885	2,009,555	96,840	-
	626,885	2,009,555	222,359	186,510

Notes (continued)

32 Discontinuing operations and assets held for sale

- (i) The board of directors approved for its subsidiary, Unga Farm Care (E.A.) Limited to enter into a Joint Venture (JV) arrangement with Nutreco International B.V. In the proposed JV, Unga Farm Care (E.A.) Limited will contribute its fish feed plant and fish feed business to a new JV company that will be incorporated. Unga Farm Care (E.A.) Limited will have an equity interest in the new JV company. The assets that will be contributed to the JV together with the associated liabilities have therefore been reclassified and disclosed as assets held for sale. The financial results for the fish feed business have also been stripped out and disclosed net separately, in the statement of comprehensive income as discontinuing operations.
- (ii) The board of directors also approved for its Uganda Subsidiary, Unga Millers (U) Limited to enter into another Joint Venture (JV) arrangement with Nutreco International B.V. In the proposed JV, Unga Millers (U) Limited will contribute its property to a new JV company that will be incorporated. Unga Millers (U) Limited will have an equity interest in the new JV company. The assets that will be contributed to the JV have therefore been reclassified and disclosed as assets held for sale.
- (iii) The directors made a decision to discontinue the baking business that trades as Ennsvalley Bakery Limited. As part of the liquidation plan for the subsidiary, management has entered into an agreement to sell the property and equipment, inventory and other rights, recover the receivables and settle liabilities. This is expected to be done within the next financial year. The assets to be sold have been disclosed as part of the assets held for sale while the financial results of the subsidiary have been presented as part of discontinuing operations.

Financial information relating to the discontinued operation as at 30 June 2021 is shown below:

(a) Financial performance and cash flow information

	2021 Shs'000	2020 Shs'000
Revenue from contracts with customers	894,678	690,577
Expenses	(864,002)	(691,758)
Profit before income tax	30,676	(1,181)
Income tax expense	(44,164)	(25,345)
Profit after income tax of discontinuing operations	(13,488)	(26,526)
Net cash inflow from operating activities	11,323	6,634
Net cash inflow/(outflow) from investing activities	(10,168)	(14,254)
Net cash inflow/ (outflow) from discontinuing operations	1,155	(7,620)
Assets classified as held for sale		
Plant and equipment	273,026	
Inventories	11,560	
	284,586	
Liabilities directly associated with assets classified as held for sale		
Capital grant	(61,350)	

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